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China International Marine Containers (000039.SZ/2039.HK)



Initiate at Buy: Riding on Offshore Engineering and AIDC Opportunities

CITI'S TAKE

We initiate coverage of **China International Marine Containers** A/H shares with Buy ratings. CIMC is the global leading container (box) manufacturer, and it has also evolved into an industrial powerhouse. CIMC's investment case is underpinned by: 1) multi-year Offshore Engineering and FPSO/FLNG upcycle amid energy security demand; 2) AI infrastructure opportunity via AIDC modular building; and 3) asymmetric risk/reward in Containers given low expectations. The A/H-shares have both corrected ~34% from their early-May peaks, suggesting significantly more caution has been baked in regarding AI hype as well as container and FX headwinds. We set SOTP-based target prices of Rmb12.5 (A-share) and HK\$11.0 (H-share); the latter embeds a 20% A-H discount and 0.9 HKD/RMB. We anticipate CIMC to enter profit upcycle in 2H26E with 34% 2026E-28E profit CAGR. Catalysts: new AIDC/FPSO order wins, rig disposal/renewal.

Offshore Engineering upcycle — With ~US\$7bn backlog (end-1H26E) in FPSO and FLNG projects, CIMC's Offshore Engineering segment has strong profit visibility through 2028, fueled by energy security imperatives and Brazil's offshore project momentum. Tightening global shipyard capacity, partly driven by energy security demand for O&G from sources outside of Russia and the Strait of Hormuz, is increasing shipbuilding prices and has enabled profitable order wins, including four recent VLCCs. We forecast segment profit of Rmb1.3-1.8bn over 2026E-28E (33-40% of mix), up from Rmb0.9bn in 2025 and loss-making prior to 2024.

AI infra opportunity — CIMC's Modular Building Systems (MBS) provides direct AI data centre (AIDC) exposure, using proprietary tech to cut construction cycles by 50%. As a leading player in a market forecast to grow 34% CAGR to ~US\$48bn by 2030E, per CIMC's estimates, CIMC looks well-positioned for the AIDC build-out. We model segment profit growth from Rmb140m in 2026E to ~Rmb413m by 2028E.

1H26E operations on track despite FX headwind — We expect a 17% profit decline for 2Q26E (vs. -62% in 1Q26), driven by an FX loss of >Rmb400m from Rmb appreciation, given >50% of revenue is FX-exposed. Absent this FX loss, we estimate 2Q26E profit would have grown 23-35% yoy.

Valuations — Our SOTP-based A-share target price of Rmb12.5 consists of 1) 25% from Container based on 0.8x 2026E P/B, below peer's trading range; 2) 13% from IDC-related modular building system based on 22x 2028E P/E, slightly < its US peer; 3) 32% from Offshore Engineering based on 13x 2027E P/E, a slight discount to global peers; 4) 22% from Vehicle and CIMC Enric based on their six-month average market cap assuming 30% conglomerate discount; and 5) other segments (8%). H-share target price of HK\$11.0 is based on 20% A-H discount and 0.9 HKD/RMB. A/H-shares have both corrected ~34% from early-May peaks, suggesting more caution has already been baked in, setting up a more attractive share-price opportunity.

Key risks — Offshore Engineering project execution risk; Red Sea normalization; Rmb appreciation vs. USD; steel price surge; oil price volatility.

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Data Summary

															Current Fiscal Year		Next Fiscal Year	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Rating		Short-Term View	Target Price		ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New					Old	New	Old	New
CIMC	000039.SZ	Rmb	8.870	20,425	12 Aug 15:00		1	-	-	12.500	40.9	1.9	42.8	Dec-25	-	0.569	-	0.853
CIMC	2039.HK	HK\$	7.77	23,387	12 Aug 16:10		1	-	-	11.00	41.6	2.4	44.0	Dec-25	-	0.569	-	0.853
1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk						ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change												
Source: Citi Research						^Catalyst Watch												

Contents

Investment Thesis	5
Initiate at Buy	5
Three pillars	5
Valuation & catalysts	7
Company Business Structure Overview	8
Diversified industrial conglomerate	8
Key verticals and products	8
Offshore Engineering Business	11
Marine infrastructure design, fabrication, installation	11
FPSO market heats up	11
FPSO sector overview and demand analysis	12
Value chain and product breakdown	13
Competitive landscape	17
CIMC's growing slice	18
Non-FPSO shipbuilding opportunities	19
Asset Management Business	20
Operating & leasing offshore rigs & platforms	20
Modular Building Business	21
Business model	21
Products	21
Customers and market: An AI data center opportunity	23
Competitor and comparable companies	24
Container Business	25
Business model	25
Demand decomposition and forecasts	25
Prices and costs	26
Competitive landscape	27
Regulatory issues	28
Energy, Chemicals, and Liquid Food Business: CIMC Enric	29
Other Businesses	29
Financial Forecasts	30
Revenue and profit trends	30
1H26E & 2Q26E preview	30
Consensus comparisons	31
Financial statements	32
Valuation Analysis	35
SOTP valuation	35
Trading dynamics	37
Valuation comps	39
Risks	40
Appendix 1: Minor Business Segments	41
Vehicle segment: CIMC Vehicles Group	41
Logistics segment: CIMC Wetrans	43
Airport Equipment & Fire/Rescue segment: CIMC Tianda	44
Appendix II: FPSO Contractor Business Models	45
Appendix III: Company History & Shareholders	46
Company history	46
Key shareholders	46

Bull/Bear: China International Marine Containers (000039.SZ)	49
Bull/Bear: China International Marine Containers (2039.HK)	50
China International Marine Containers	51
Company description	51
Investment strategy	51
Valuation	51
Risks	51
China International Marine Containers	51
Company description	51
Investment strategy	52
Valuation	52
Risks	52
Appendix A-1	53

Investment Thesis

Initiate at Buy

We initiate coverage of **China International Marine Containers (CIMC)** A/H shares with Buy ratings, setting SOTP-based target prices of Rmb12.5 (A-share) and HK\$11.0 (H-share).

As the largest container producer in the world with 34% market share in 2025, CIMC has grown into a leading player in cargo logistics equipment (Container, Vehicles), energy logistics equipment (Offshore Engineering, CIMC Enric), and Modular Building (for AI data center).

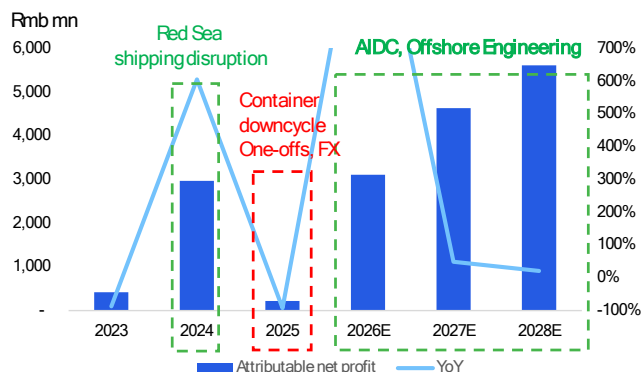
Three pillars

CIMC's investment case is underpinned by a unique blend of secular growth drivers and cyclical value, providing clear earnings visibility through 2026E-28E. CIMC's investment thesis rests on three pillars:

1. Offshore Engineering and FPSO/FLNG opportunity
2. AI infrastructure exposure
3. Attractive risk/reward in Container (box) manufacturing business (the base-revenue business)

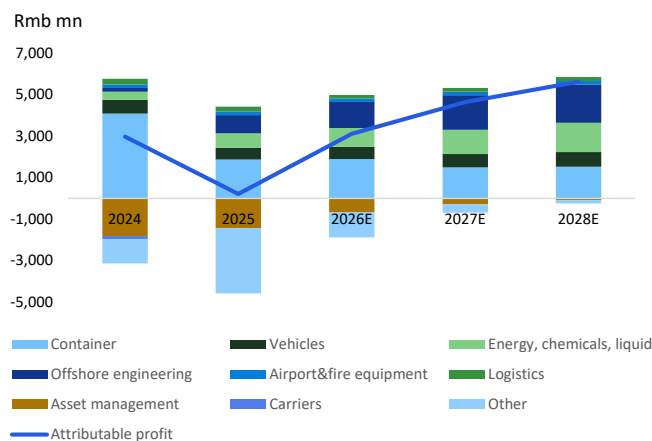
We forecast CIMC profit to normalize in 2H26E entering an attributable net profit growth trajectory of Rmb3.1bn / Rmb4.6bn / Rmb5.6bn for 2026E/27E/28E (~34% 2026-28E CAGR) from a very low base in 2025 when one-offs and FX loss occurred.

Figure 1. CIMC – Cyclical Profit Trend Due to Containers



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Source: Citi Research Estimates, Company Reports

Figure 2. CIMC – Profit Growth Forecast by Segment



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Figure 3. CIMC – Attributable Profit Growth Forecast Breakdown by Segments

	2023	2024	2025	2026E	2027E	2028E
Attributable profit	421	2,972	221	3,112	4,637	5,615
YoY		606%	-93%	1309%	49%	21%
Container		128%	-54%	1%	-21%	3%
Non-IDC Container		128%	-54%	-6%	-31%	-8%
IDC					103%	46%
Vehicles		-52%	-14%	3%	10%	10%
Energy, chemicals, liquid		-51%	77%	32%	29%	20%
Offshore engineering		-858%	372%	42%	33%	11%
Airport&fire equipment		30%	0%	0%	0%	0%
Logistics		133%	-17%	-23%	5%	5%
Asset management			-21%	-53%	-58%	-70%
Carriers		208%	-104%	-100%		
Other			168%	-62%	-67%	-63%

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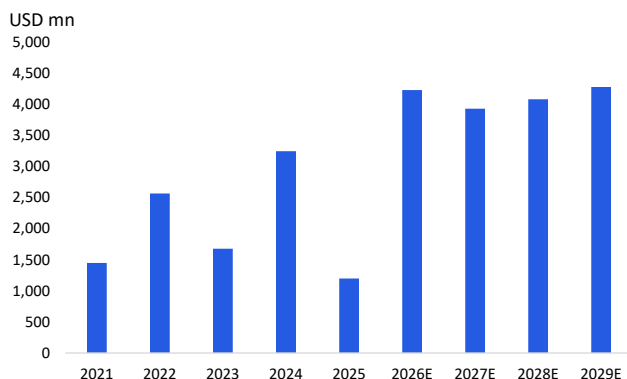
Source: Citi Research Estimates

Offshore Engineering (~40% of 2026E attributable profit and 32% of target valuation): With ~US\$7bn (as of end-1H26E) backlog on back of FPSO (Petrobras) and FLNG project orders, CIMC Offshore Engineering segment is set to drive margin expansion and profit growth through 2028E, fueled by a multi-year FPSO upcycle, driven by the pressing need for energy security and to offset natural production declines. We expect this momentum to continue, especially in key regions like Brazil, implying a strong performance outlook for the segment.

Furthermore, CIMC's competitive position is amplified by tightening capacity across the global offshore engineering and shipbuilding sector, with shipyard availability increasingly constrained by a surge in orders for LNG vessels and heightened geopolitical risks. Recent geopolitical tensions have accelerated CIMC's order intake, including four VLCCs secured at heightened prices. With offshore yard slots already sold out through 2028, CIMC looks well-positioned to capture higher-value scopes of work and benefit from enhanced pricing power in a supply-constrained market environment, in our view.

We forecast Offshore Engineering segment to contribute Rmb1.3-1.8bn attributable profit over 2026E-2028E (33-40% of mix), up from Rmb0.2bn in 2024 and Rmb0.9bn in 2025.

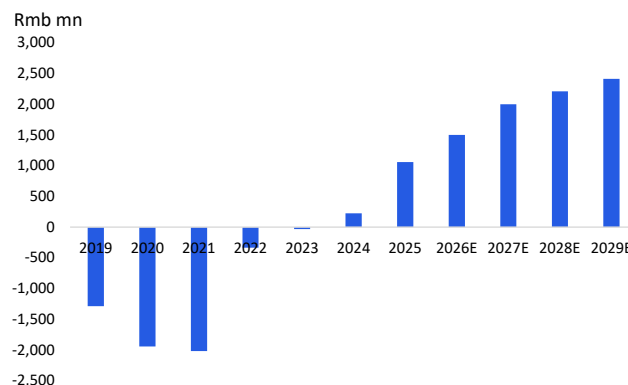
Figure 4. CIMC – Offshore Engineering Segment Backlog



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Source: Citi Research Estimates, Company Reports

Figure 5. CIMC – Offshore Engineering Segment Net Profit Forecast



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AI infrastructure exposure (4% of 2026E profit, 14% of target valuation): CIMC's Modular Building Systems (MBS) unit provides direct exposure to AI data center construction through proprietary technology that reduces construction cycles by 50% and waste by 90%. Thanks to its previous project track record with leading customers, CIMC is the leader in China in modular data center construction. CIMC has delivered 1,000MW+ capacity with 300MW active backlog, positioning MBS to grow from Rmb140m profit (2026E) to ~Rmb413m (2028E).

Asymmetric risk/reward in Containers (57% of 2026E profit, 25% of target valuation): The container division is navigating a cyclical downturn, but with the A/H-shares both correcting ~34% from their early-May peaks, we think the market has already priced in bearish expectations as well as the sector headwinds. We believe this creates an attractive asymmetric upside opportunity, sensitive to any positive shifts in global trade dynamics or supply constraints.

Valuation & catalysts

We expect CIMC to enter a multi-year profit upcycle – after a likely subdued 2Q26E weighed by FX headwinds – driven by: 1) Offshore Engineering order delivery, and 2) AIDC modular building opportunity. The A/H-shares have both already corrected ~34% from their early-May peaks, likely pricing in weak 2Q26E results, container headwinds, and other issues. We see a re-rating opportunity for the stock fueled by the profit recovery trajectory. Anticipated catalysts include new AIDC/FPSO order win and rig disposal/renewal.

Our SOTP-based A-share target price of Rmb12.5 consists of 1) 25% from Container based on 0.8x 2026E P/B, below peer's trading range; 2) 13% from IDC-related modular building system based on 22x 2028E P/E, slightly < its US peer; 3) 32% from Offshore Engineering based on 13x 2027E P/E, on par with global peers; 4) 22% from Vehicle and CIMC Enric based on their six-month average market caps assuming 30% conglomerate discount; and 5) other segments (8%). Our H-share target price of HK\$11.0 is based on 20% A-H discount and 0.9 HKD/RMB.

- Our A-share target price implies P/E ratios of 22x/15x/12x for 2026E/27E/28E and P/B ratios of 1.3x/1.2x/1.1x for 2026E/27E/28E. CIMC A-share is currently trading near the 10-year average of 0.9x P/B.
- Our H-share target price implies P/E ratios of 18x/12x/10x for 2026E/27E/28E and P/B ratios of 1.0x/1.0x/0.9x for 2026E/27E/28E. CIMC H-share is currently trading near the 10-year average of 0.6x P/B.

Company Business Structure Overview

Diversified industrial conglomerate

China International Marine Containers (CIMC) is the world's largest manufacturer of shipping containers and a diversified industrial conglomerate spanning logistics equipment, energy equipment, and offshore engineering. Founded in 1980 as a container manufacturer, CIMC has systematically expanded downstream and adjacently, leveraging shared customer relationships (shipping lines, logistics operators) and transferable steel fabrication capabilities to enter semi-trailers (2002), tank containers, airport equipment, modular buildings, and offshore drilling platforms. The company operates through a "Lighthouse + Satellite" strategy: capital-intensive core manufacturing (welding, stamping, coating) is concentrated at flagship Lighthouse facilities, whilst Satellite assembly operations are positioned close to end markets to optimize costs and responsiveness.

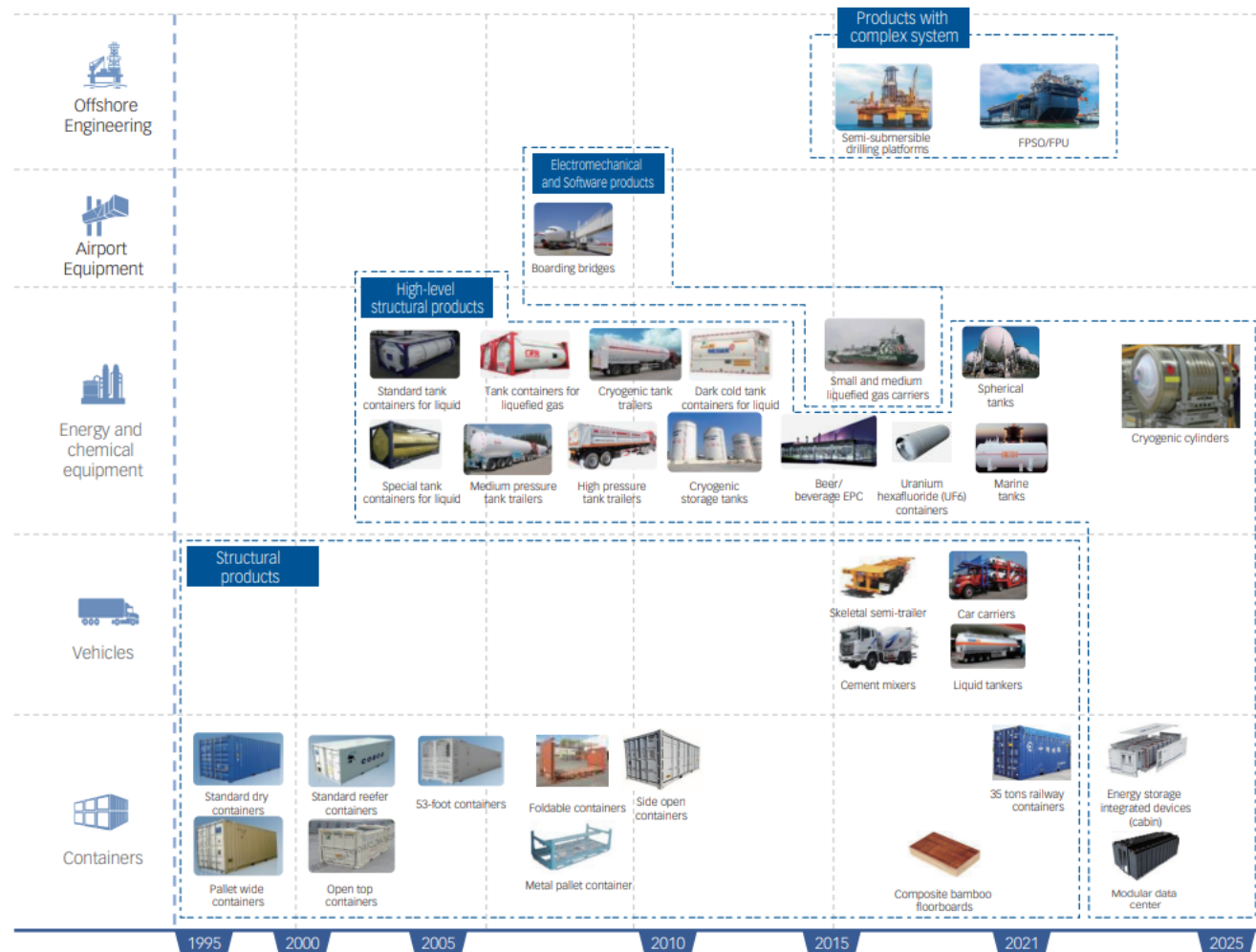
Key verticals and products

CIMC's business portfolio consolidates into two major verticals:

- Cargo Logistics
- Energy Logistics

The company's strategic evolution traces back to its steel processing origins, from which it has systematically expanded into adjacent logistics sectors by leveraging existing customer relationships and manufacturing capabilities. This disciplined, sequential expansion has positioned CIMC as a dominant or top-tier player across each segment where cargo and energy logistics intersect with its core competencies.

Figure 6. CIMC Group – Existing Key Products



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Cargo Logistics

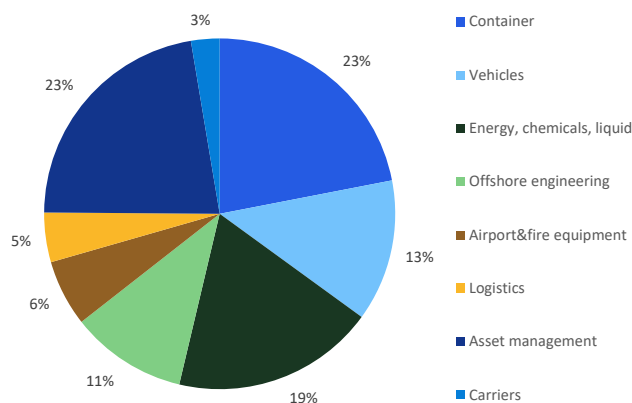
- Container manufacturing** (26% 2026E revenue and 61% of attributable net profit): the initial business of CIMC; it is the global No.1 player by volume.
- CIMC Vehicles** (301039.SZ, 12% of 2026E revenue mix, 19% of 2026E attributable net profit) — CIMC extended into semi-trailers and container chassis trailers in 2002, leveraging customer overlap with its existing container clients and transferable production know-how (steel processing, welding, coating), and reached global #1 in semi-trailer sales by 2006.
- Logistics Services** (18% 2026E revenue mix, 6% of 2026E attributable net profit) — Depot operations were upgraded into integrated multimodal forwarding (one-stop door-to-door covering ocean, inland trucking and customs clearance), leveraging the same customer base of shipping lines, lessors, and large industrial shippers to deepen client stickiness.

4. **Modular Building Systems (MBS, 4% of 2026E attributable net profit)** — Houses CIMC modular construction and modular data center businesses, an emerging growth sub-business within the group, and a direct extension of CIMC's container-manufacturing DNA into buildings and AI data centers that attract investors attention lately.
5. **Airport, Fire protection, Logistics Automation Equipment (5% 2026E revenue mix, 5% of attributable net profit)** — A smaller adjacent extension originating from a domestic-boarding-bridge supply contract for Tianjin Binhai International Airport.

Energy Logistics

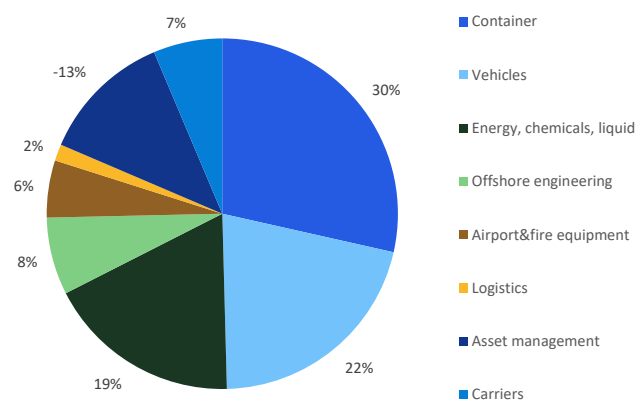
1. **Offshore Engineering (12% 2026E revenue mix, 40% of 2026E attributable net profit)** started in 2008 when CIMC acquired a 29.9% stake in Yantai Raffles to become its largest shareholder, marking entry into specialty vessels and offshore platforms; CIMC progressively increased its stake to ~100% by 2013, then in 2022 brought in Yantai Guofeng (Yantai SOE) as a 16.7% strategic partner, leaving CIMC at 83.3% today.
2. **Asset Management (2% 2026E revenue mix, -22% of 2026E attributable net profit)** — Operates the leasing and disposal of offshore platforms built by Offshore Engineering business. This segment has been weighed down by highly leveraged assets that suffered under elevated interest rates during the COVID period, but is now improving through debt reduction and refinancing at lower rates.
3. **Energy, Chemicals, and Liquid**, primarily represented by its subsidiary **CIMC Enric (3899.HK)**, covered by Jamie Wang, 18% 2026E revenue mix, 29% of 2026E attributable net profit) was acquired in 2007 and has since served as the group's consolidation vehicle for all pressurized containers — natural gas, LNG, hydrogen, chemicals, and beer/liquid food. CIMC Enric is riding on opportunities in bunker shipbuilding, green methanol, and commercial aerospace fuel container.

Figure 7. CIMC – Asset Mix 2025



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Figure 8. CIMC – Equity Mix 2025



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Offshore Engineering Business

Marine infrastructure design, fabrication, installation

CIMC's Offshore Engineering business (under CIMC Raffles) involves the design, fabrication, and installation of large-scale marine infrastructure such as floating production storage and offloading units (FPSOs), floating liquified natural gas (FLNG), floating storage and offloading (FSO), drilling rigs, and specialized vessels for offshore wind farm construction.

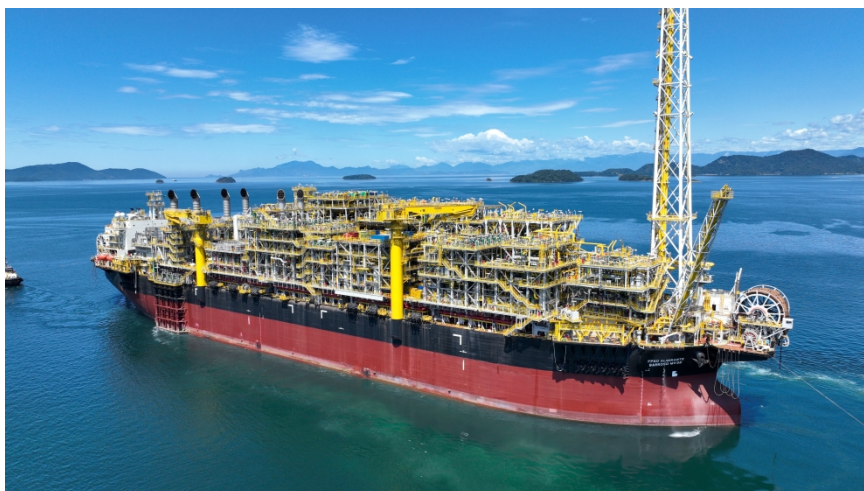
Offshore engineering yards construct and integrate complex floating industrial assets—such as FPSOs, FLNGs, and offshore platforms—distinct from traditional shipyards that build standardized transport vessels. An offshore yard's value lies not in hull construction, but in higher-margin services like module fabrication, topside integration (with high lifting capacity crane), commissioning, and complex project management. While these projects are technically bespoke and carry greater execution risk, they offer significantly higher value-added potential compared to conventional shipbuilding.

FPSO is a ship-shaped offshore platform used for deepwater production, processing, storage and export of crude oil and associated gas from subsea oil and gas wells. FPSO is essentially an oil refinery upon an oil tanker in the ocean with subsea well connection.

FPSO market heats up

FPSO is a focus for CIMC investment case (~40% of CIMC 2026E profit). Unlike rigs and other O&G equipment, FPSO projects offer greater order and price visibility. This is due to their long-cycle nature and pressing energy security concerns, which are driving demand for oil from sources outside of Russia and the Strait of Hormuz.

Figure 9. FPSO



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Source: Citi Research, MODEC

FPSOs are deployed where building fixed platforms or running long subsea tiebacks to shore would be uneconomic — typically in: (1) deepwater (>500 m) and ultra-deepwater (>1,500 m) fields, where FPSOs provide flexible production and storage; (2) remote locations far from existing infrastructure; (3) marginal fields

where re-deployable assets are preferred over permanent installations; and (4) fields with finite reserves where the FPSO can be relocated at end-of-life. In contrast, shallower waters typically use jack-up rigs (up to ~150 m water depth) or semi-submersibles (150–3,000 m), which are primarily drilling units rather than production facilities and may be tied back to shore-based processing infrastructure.

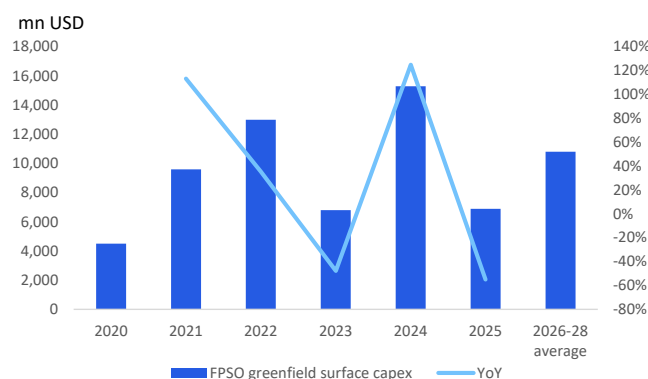
FPSO sector overview and demand analysis

Offshore production, which accounts for ~1/3 of global oil output, faces a steep natural decline. Active fields deplete at a managed rate of around 6% annually (per Rystad Energy), or an 8% natural rate (per IEA), creating a need for 1.7 million barrels per day (bpd) of new capacity just to maintain current levels. In 2024, >9bn boe was discovered, with ~90% (>8 boe) being offshore, according to Global Energy Monitor. Rystad Energy reported that for the offshore awards in 2024, 28% were in deepwater and 33% in ultra-deepwater. As such, the FPSO sector stands to benefit significantly from any recovery in offshore oil drilling capex since 2020.

According to Rystad Energy data, current investment—which carries a 5–7 year project lead time—is expected only to narrow this supply gap, not create an oversupply. Our research indicates that while FPSOs achieving first oil from 2020–2024 added an aggregate of 150–600k bpd in annual capacity, the FPSOs contracted between 2020–2025 are designed for an aggregate nameplate capacity ranging from 0.5 to 2.0 million bpd, signaling a surge in FPSO fabrication and deployment activities for 2025–2030.

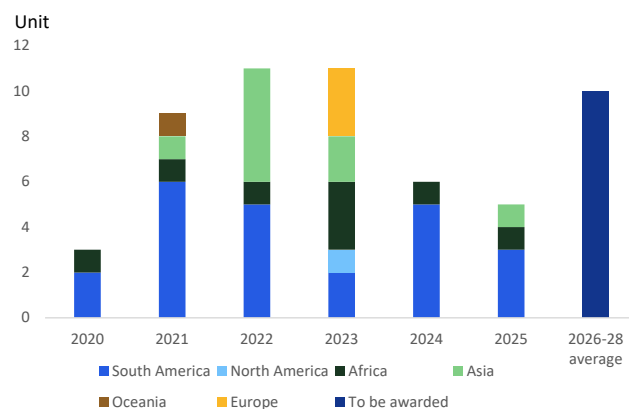
The relevant market size for FPSOs is greenfield surface capex, which Rystad Energy estimates at approximately US\$10.8bn annually for 2026E–28E, with an average of 10 FPSO awards anticipated each year. There are ~204 active FPSOs globally, according to Clarksons data, accounting for over 50% of all mobile offshore production platforms by unit count.

Figure 10. FPSO Greenfield Surface Capex Forecast



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Source: Citi Research, Rystad Energy

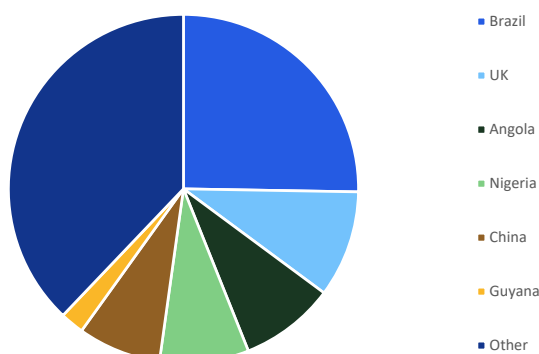
Figure 11. FPSO Award Units



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Source: Citi Research, Rystad Energy

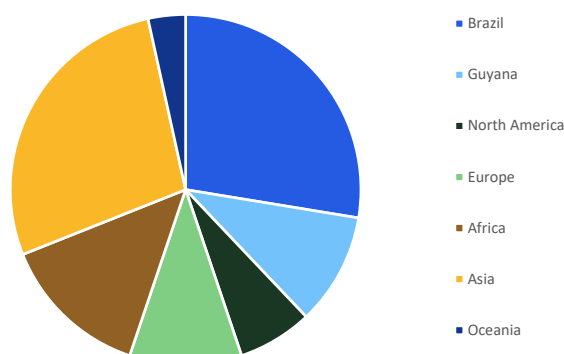
Petrobras (PETR4.SZ, Brazil's NOC) is the key growth driver. As the biggest FPSO market, Brazil accounts for ~25% market share in new unit award and close to 30% share in to-be-award FPSOs over 2026E–28E, according to Rystad Energy.

Figure 12. Brazil is the largest market of operating FPSOs by units



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Source: Citi Research, Rystad Energy

Figure 13. Brazil is the largest market for new FPSOs 2026E-28E



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Source: Citi Research, Rystad Energy

Value chain and product breakdown

Lifecycle of an FPSO offshore project

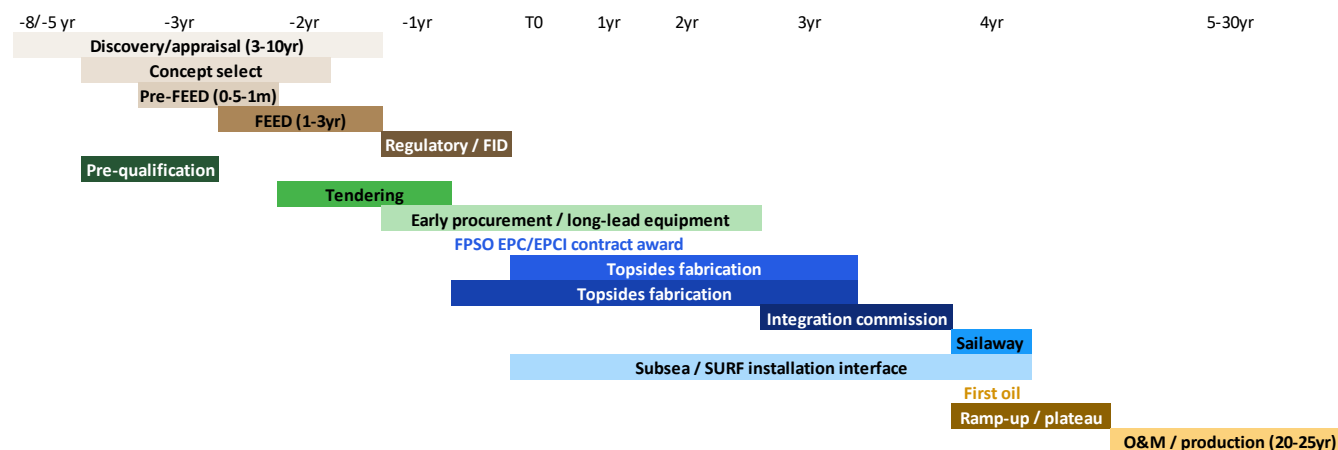
FPSO project lifecycle starts from oil field exploration (3-10 years), Pre-FEED to FID (3-4 years), equipment construction and commissioning (~4 years), and production for 20-25 years:

1. Exploration (3-10 years) of economically feasible oil field.
2. Pre-FEED (~6-12 months) to select the development concept; **this is where FPSO contractors (EPC) start to get involved, offering equipment design.** Pre-qualification stage also takes place at this stage, a pre-requisite for final EPC tendering.
3. Competitive FEED tender (~12-18 months). Converts the concept into a bid-ready technical package with capacity, process design, layout, weight, interfaces, cost and schedule basis.
4. **Final Investment Decision (FID)** and regulatory / partner approval (12-18 months). Operator and partners formally approve capital commitment and move the project into execution.
5. EPC tendering (6-18 months).
6. **Subcontracting (2-3 months):** The winning Tier-1 contractor sub-contracts hull, modules and equipment to EPC contractors/suppliers within 60-90 days.
7. **EPC Construction and integration (4 years):** The ordering and construction of subsea equipment and long-lead items (such as gas turbines) can be ordered before FID to save time. After components are ready, all components will be integrated into modules and then integrated onto the hull.
8. **Subsea Production System (SPS) construction** and the manufacturing and installation of Subsea Umbilicals, Risers, and Flowlines (SURF) take place simultaneously with FPSO buildout. The subsea system produces, processes and transmits oil up to the FPSO (4-5 years).

9. Sail-away, offshore commissioning, hookup (3–6 months).
10. Ramp up (6–12 months) and Operation and Maintenance (O&M) services (20–25 years); see Appendix II for FPSO contractor/operator different business models and corresponding cash flow profiles.

CIMC involves EPC tendering and subcontracting (for hull design and construction, integration, and yard commissioning).

Figure 14. FPSO – Oilfield Project Lifecycle

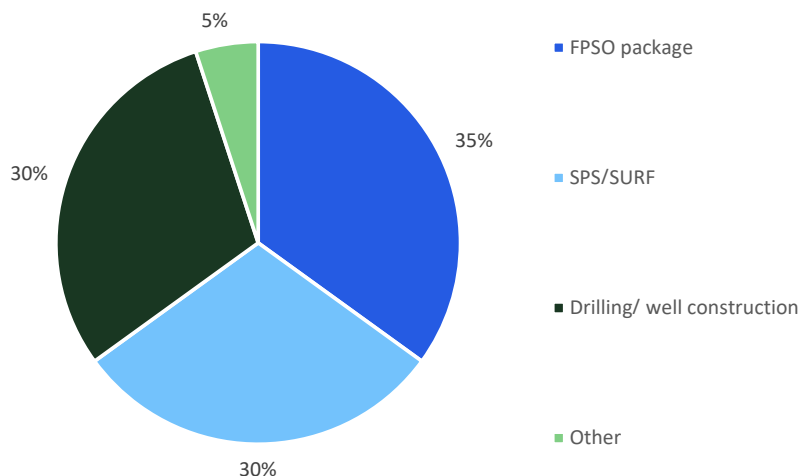


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Value chain decomposition

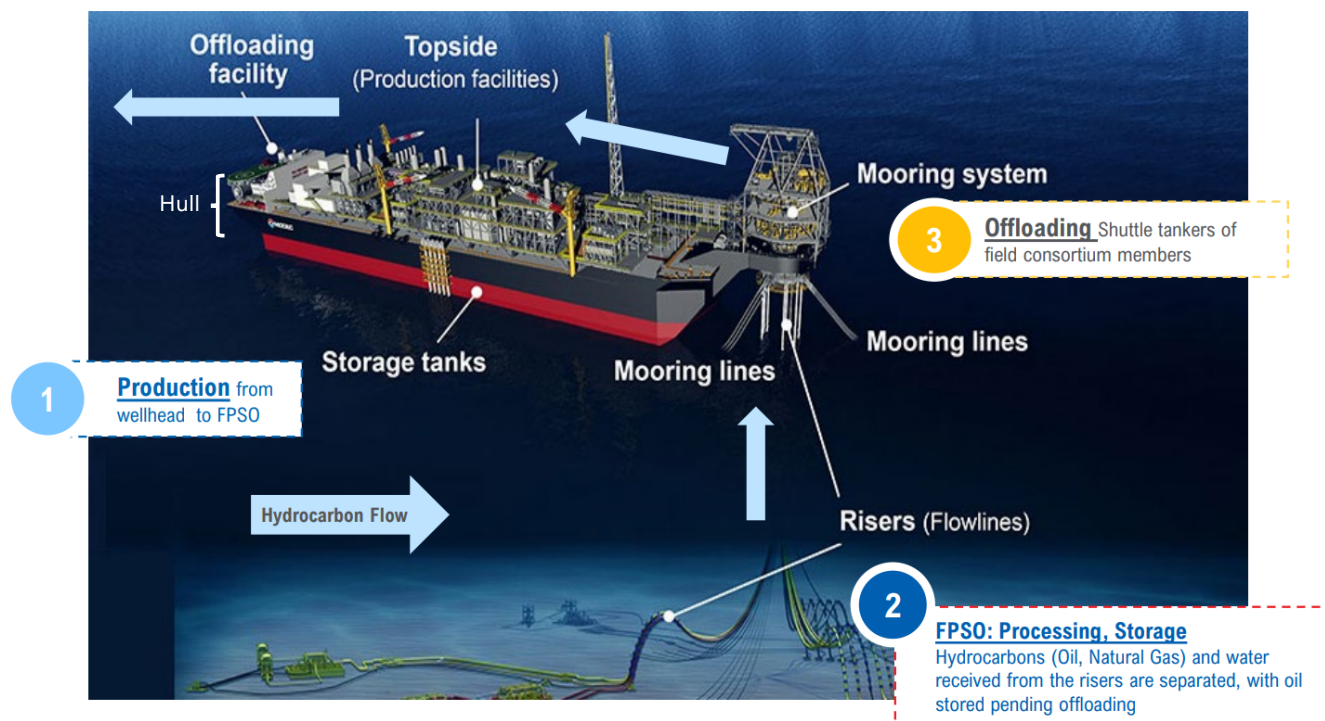
In a typical offshore project's capex, the FPSO accounts for ~35% of the total cost. Wells and drilling represent another 25–35%, while Subsea Production Systems (SPS), along with the manufacturing and installation of Subsea Umbilicals, Risers, and Flowlines (SURF), comprise about 30%.

Figure 15. FPSO – Field Capex Breakdown



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Source: Citi Research

Figure 16. FPSO – Structure and Subsea System



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Source: Citi Research, MODEC

Figure 17. FPSO – Offshore Project Value-chain Summary

Value-chain layer	What they do	Key players
Operator / field owner	Owns reserves, approves FID, funds project, receives hydrocarbon economics.	Petrobras, Shell, Exxon, TotalEnergies, Equinor
FPSO EPC/ EPCI integrator	Takes overall delivery responsibility across engineering, procurement, construction, integration and sometimes installation/O&M.	Seatrium, SBM Offshore, MODEC, Yinson, BW Offshore
Hull / marine yard	Builds or converts the floating vessel, storage tanks, marine systems and accommodation.	Seatrium, COSCO, SWS, DSIC, CIMC Raffles, Hanwha, Samsung, Hyundai
Topsides fabricator	Builds processing modules for oil, gas, water, power, utilities and injection systems.	Seatrium, COOEC, McDermott, Saipem, Technip Energies, Aibel
Critical equipment OEMs	Supply compressors, turbines, generators, pumps, valves, control systems, offloading and process packages.	Siemens Energy, GE Vernova, MAN ES, Sulzer, Flowserve, ABB, NOV, Wärtsilä
Turret / mooring/ riser specialists	Provide station-keeping, swivel, riser interface, mooring and offloading systems.	SBM, SOFEC, NOV/APL, Bluewater, MODEC
Subsea / SURF contractors	Supply subsea trees, manifolds, umbilicals, risers, flowlines and installation vessels.	TechnipFMC, SLB OneSubsea, Subsea7, Saipem, Baker Hughes
Installation / hookup contractors	Execute offshore mooring, lifting, riser pull-in, hookup and final commissioning.	Saipem, Heerema, Boskalis, Subsea7, DOF
O&M / lifecycle services	Operate FPSO, maintain uptime, supply spares, perform shutdowns, upgrades and life extension.	FPSO owner/operator, Petrobras, SBM, MODEC, Yinson, OEMs

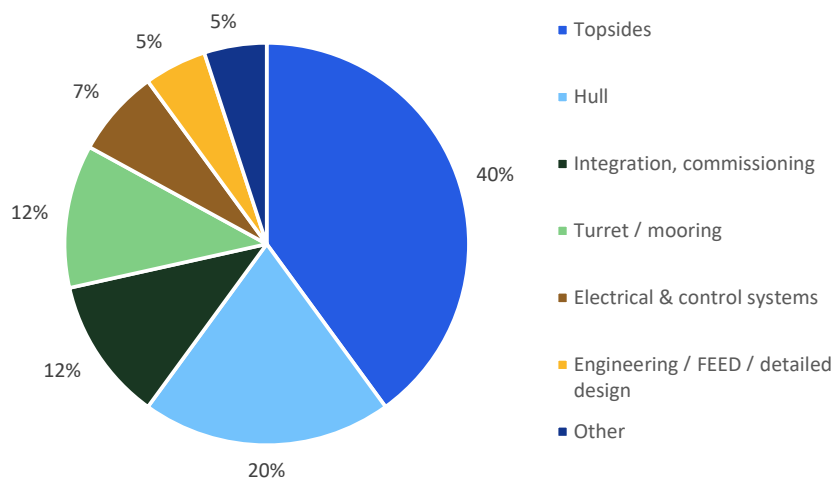
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Source: Citi Research

FPSO value decomposition

A typical FPSO vessel consists of:

- **Hull (15–25% of cost, CIMC’s work scope):** The ship body with crude storage (1.0–2.3m bbl), accommodation, mooring (turret or spread), offloading system, and deck for topsides.
- **Topsides/modules (35–45% of cost):** The processing facility handling separation, gas compression and treatment, water injection, power generation, and utilities. Represents one-third of total weight but the majority of project complexity. This includes long lead-time items (LLI) such as gas turbines, swivel stacks, and large compressors whose lead-time is extending.
- **Mooring system (10–15%):** The core system that allows an FPSO to weathervane, aligning it with prevailing wind and currents.
- **Integration, commissioning, project management (10–15%, CIMC’s work scope):** Yard integration, interface management, module lifting, commissioning.

Figure 18. FPSO – Components Value Breakdown



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Source: Citi Research

Competitive landscape

CIMC Raffles (Offshore Engineering subsidiary of CIMC group) has emerged as a meaningful Chinese offshore engineering platform with visible exposure to the current FPSO construction cycle. We estimate CIMC has a low-to-mid-teens market share of global FPSOs hull on order / under construction. For integration work scope, the key competitor is Seatrrium (SEAT.SI, covered by Luis Hilado), which remains the global benchmark for Petrobras FPSO EPC and commissioning work.

The relevant FPSO-level competitive set includes:

- **FPSO hull yards level:** Shanghai Waigaoqiao Shipbuilding (SWS) and China Merchants Heavy Industry (CMHI) are the principal Chinese players who take order from SBM Offshore's (SBMO.AS) Fast4Ward program, while COSCO Shipping Heavy Industry is becoming a new potential hull supplier. Wison is a competitor in FLNG scope.
- **Full FPSO with topside integration yards work scope:** Seatrrium (SEAT.SI, covered by Luis Hilado, major competitor, but can potentially be an EPC contractor-subcontractor partner), three major Korean offshore yards (Hanwha Ocean [042660.KS], Samsung Heavy Industries [SHI, 010140.KS], HD Hyundai Heavy Industries [HHI, 009540.KS]). Except for selective FPSO opportunity such as P79 and Nigeria local-content-driven opportunity, Korean builders are not active in FPSO competition vs. CIMC, but primarily on LNG vessels such as FLNGs.
- **Topside (module) fabrication yards:** BOMESC (603727.SS), Dyna-Mac, Wison, COOEC.

Figure 19. Offshore Engineering – Competitors Summary

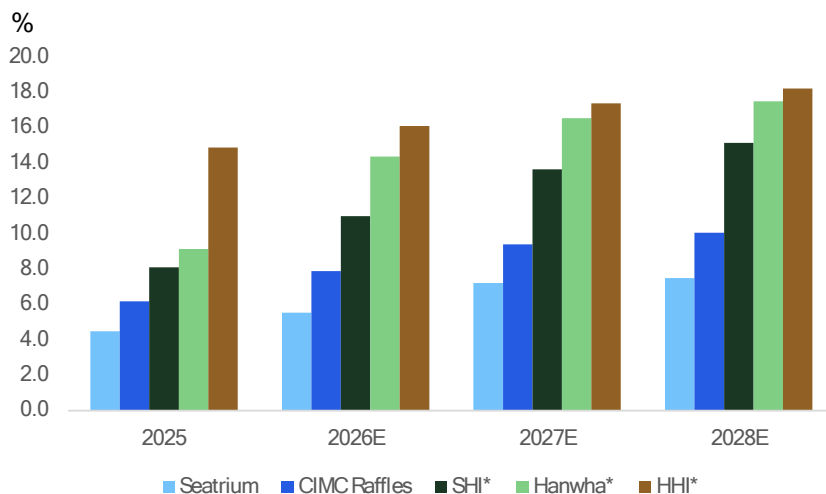
Category	Companies
Full FPSO / FPU integration yards	Seatrrium (SEAT.SI), Korean offshore yards (Samsung Heavy Industries 010140.KS, Hanwha Ocean 042660.KS, HD Hyundai Heavy Industries 329180.KS)
FPSO hull yards	SWS (proxy 600150.SS), CMHI (Not separately listed), COSCO (Not separately listed)
Topside / module fabrication yards	BOMESC (603727.SS), Wison (Not cleanly listed), COOEC (600583.SS)
FPSO contractors / owners	SBM Offshore (SBMO.AS), MODEC (6269.T), Yinson (YINS.KL)

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Source: Citi Research

We view CIMC Offshore Engineering profitability as relatively strong among global (Asian) major FPSO-capable shipyards. Bloomberg consensus expects an understandably higher-than-peer EBIT margin for Korean shipbuilders thanks to its exposure to LNG vessels, at 8-15% for 2026E. We estimate CIMC Raffles (Offshore Engineering segment) to achieve 2026E ~8% EBIT margin, which is higher than ~5.5% for Seatrrium on Citi forecasts. We forecast CIMC Raffles to lead Seatrrium by 2-3pp in EBIT margin over 2027-28E on favorable production resources and productivity, despite admittedly lower than that of Korean shipbuilders.

Figure 20. Offshore Engineering – EBIT Margin Peer Comparison



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CIMC and Seatrium are Citi forecasts, SHI, Hanwha, and HHI are based on Bloomberg consensus

Source: Citi Research, Bloomberg

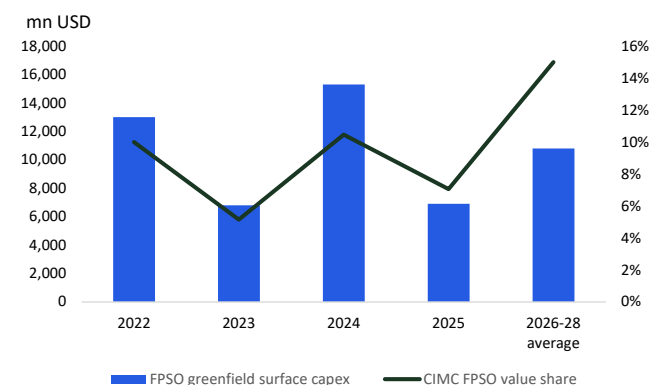
CIMC's growing slice

CIMC entered the FPSO market in 2018 and has since established a growing presence in the sector. Currently, the company primarily operates as a subcontractor for hull fabrication; however, we expect it to capture increasingly higher-value content over the next three years as it accumulates additional project credentials and progressively expands its footprint in LNG-related vessels. Notably, CIMC is currently executing a conversion order for the Golar FLNG, marking a meaningful step toward its broader objectives in the floating LNG space.

Based on confirmed orders and sector awards, we estimate that CIMC captured approximately 5–10% of greenfield FPSO topside capital expenditure over the 2022–2025 period, on our estimate. Looking ahead, we anticipate its market share to edge upward to an average of ~15% over 2026E–28E, underpinned by an expected increase in deal wins and a gradual move toward higher-value scopes of work.

We forecast its profit to reach an average of ~Rmb5bn revenue for 2026E–28E as it works through the order on hand, and we project its attributable profit to grow at a 28% 2025–28E CAGR to ~Rmb1.8bn.

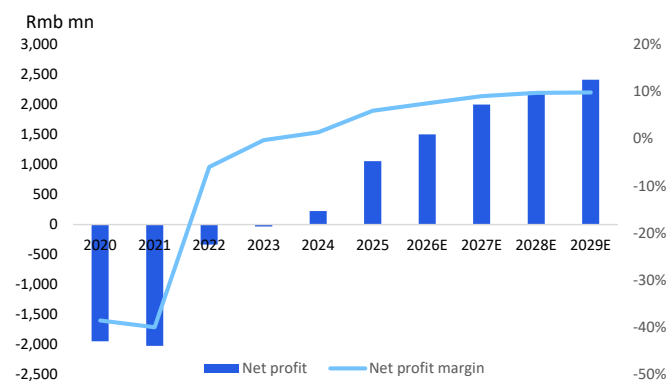
Figure 21. CIMC – Value Share in Global FPSO Market



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Source: Citi Research Estimates, Company Reports

Figure 22. CIMC – Offshore Engineering Segment Net Profit and Net Profit Margin



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Source: Citi Research Estimates, Company Reports

Non-FPSO shipbuilding opportunities

In 2Q26, CIMC secured a profitable order for four oil tankers (VLCCs), leveraging the same facility that constructs its FPSO hulls. The company's versatile shipyard also wins contracts for specialized vessels, including wind turbine installation vessels, multi-purpose offshore engineering vessels, and Pure Car and Truck Carriers (PCTCs). Amid increasingly tight global shipyard capacity, we expect CIMC's non-FPSO shipbuilding orders to improve profitability and contribute meaningfully to the company's bottom line.

Asset Management Business

Operating & leasing offshore rigs & platforms

The Asset Management segment operates and leases the O&G production assets that are built by the Offshore Engineering segment, which is a pure-play manufacturing business and does not handle operations.

Under the Asset Management segment, CIMC owns and manages 16 offshore rigs and platforms across various water depths. Its self-built Bluewhale I and Bluewhale II are China's most advanced ultra-deepwater semi-submersible platforms, both capable of operating in water depths up to 3,658 metres and drilling to 15,240 metres—including successful extraction of natural gas hydrates (combustible ice) from the South China Sea seabed. High oil prices driven by geopolitical conflict are driving recovery in rig utilisation and lease rates, creating a path to profitability or favorable asset disposal.

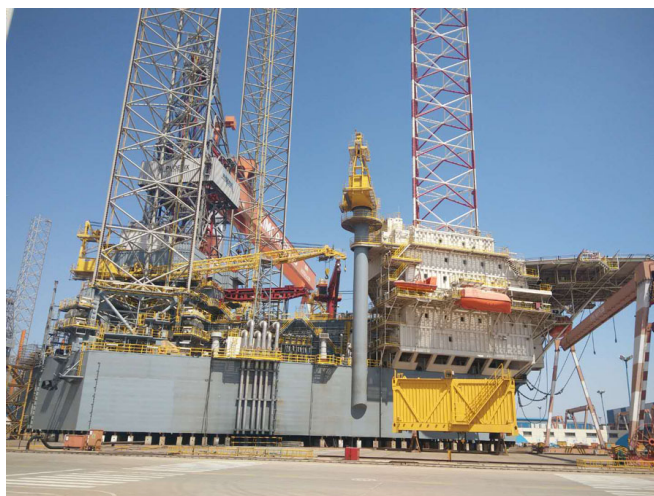
The segment recorded a net loss of ~RMB 1,400m in 2025 due to idle rigs, depressed lease rates, and elevated interest costs. We forecast sequential improvement of ~RMB 750m yoy in 2026E, ~RMB 390m in 2027E, and ~RMB 200m in 2028E. Any asset disposal within our forecast horizon would reduce earnings drag and improve capital efficiency, unlocking value not reflected in current valuation.

Figure 23. CIMC Blue Whale I Platform



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Source: Citi Research, Ocean Challenger

Figure 24. CIMC Gulf Driller VI Jack-up Platform



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Modular Building Business

Business model

The Modular Building Systems (MBS) houses CIMC modular construction and modular data center businesses — an emerging growth sub-business within the group, and a direct extension of CIMC's container-manufacturing DNA into buildings and data centers. MBS is also classified under Construction segment.

- **Mechanism:** Standardized building modules are pre-fabricated in-factory, with ~70–90% of total construction work completed before shipment, transported via the same container logistics network CIMC has built over 30+ years, and stacked Lego-style onto a prepared onsite foundation.
- **Pros:** Build time compressed ~50% vs. traditional construction, construction waste reduced 90%+.
- **Cons:** More costly than conventional construction.

Figure 25. CIMC – Modular Building Construction



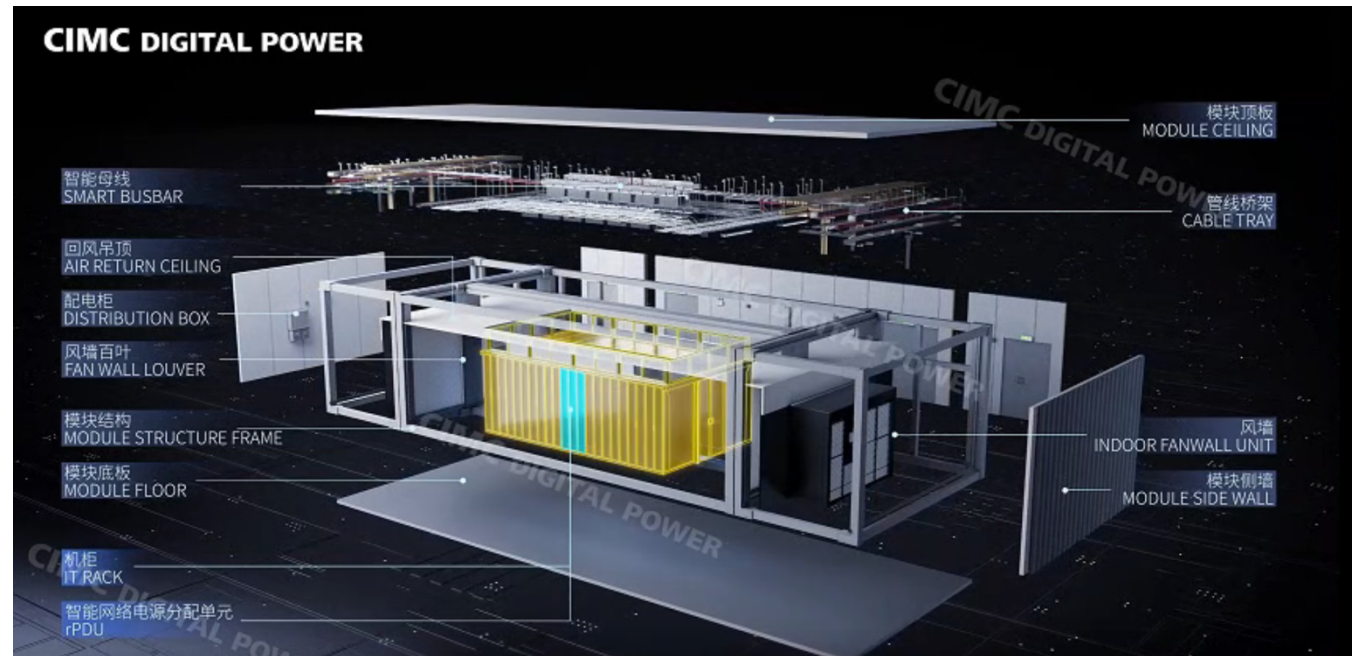
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Source: Citi Research, Company Reports

Products

The business comprises two product lines:

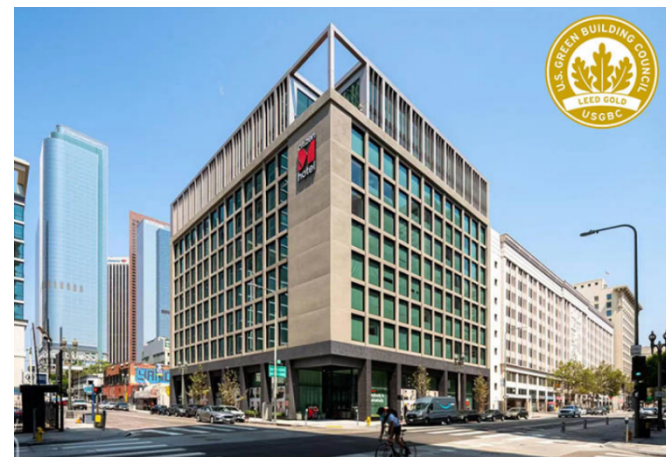
- **Modular Buildings (模块化建筑)** serve hotels, apartments, schools, hospitals, and military or emergency accommodation — the traditional B2B segment.
- **Modular Data Centers (模块化数据中心)** address AI and cloud data centers, hyperscale IDC facilities, and cloud service provider self-builds — the high-growth extension.

Figure 26. CIMC – Structure of MBS Unit for Data Centers



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Source: Citi Research, CIMC Digital Power

Figure 27. CIMC – MBS Hotel Project



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Source: Citi Research, CIMC MBS

Figure 28. CIMC – Hong Kong LegCo Complex Expansion Project



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Source: Citi Research, CIMC MBS

Customers and market: An AI data center opportunity

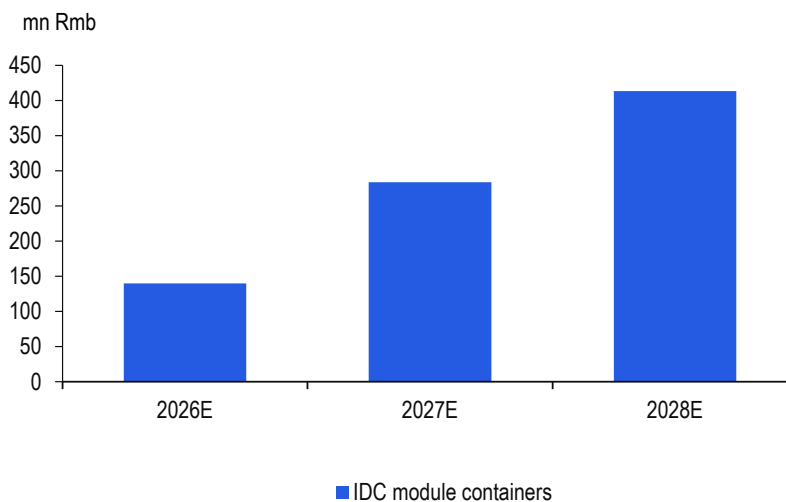
End-customer profile shares three characteristics: (1) acute sensitivity to construction timeline (data centers race to bring compute online; hospitality and emergency uses target narrow opening windows); (2) elevated onsite labor cost markets (developed economies and overseas project sites benefit ly); and (3) environmental compliance pressure — reduced construction waste and carbon footprint support tenant and investor ESG requirements.

Delivery credentials: 1,000MW+ cumulative data center capacity delivered, 17,000+ construction modules, 52,000 server racks. Active backlog exceeds 300MW, primarily for AI and cloud computing customers. Geographic footprint covers Middle East, Southeast Asia, Japan, China, and Europe. CIMC MBS is delivering a 300MW datacenter project in Malaysia.

Addressable market: The global modular data center market is forecast to expand from approximately US\$11bn in 2025 to US\$48bn in 2030E, representing a 34.27% CAGR, as per CIMC's estimate and forecast (vs. 17.4% by Grand View Research and Markets 17.7% CAGR). This forecast incorporates an increase of modular construction adoption and excludes the internal components such as electronics and cooling equipment.

Forecast: CIMC is currently expanding its capacity (in output value terms) from Rmb6bn to Rmb10bn by 2027E. We forecast the AIDC construction business to contribute Rmb140m profit in 2026E and grow to Rmb413m profit in 2028E.

Figure 29. CIMC – AIDC Project Profit Forecasts



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Source: Citi Research Estimates

Competitor and comparable companies

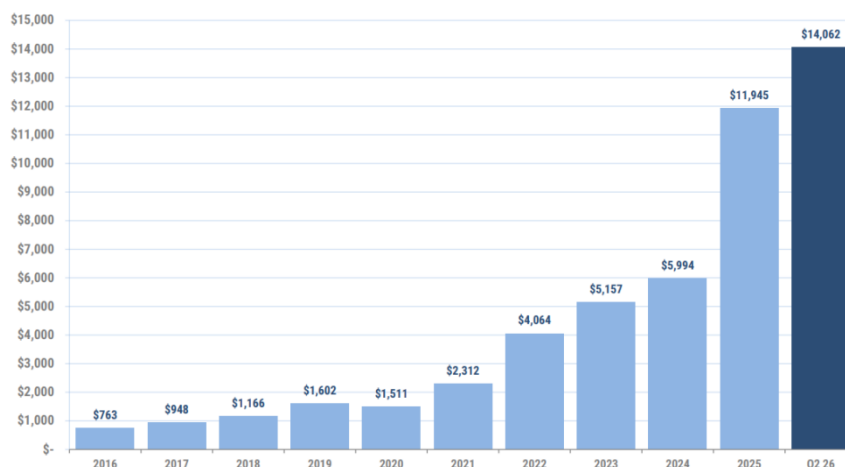
Comfort Systems USA (FIX.N) is a premier national provider of mechanical and electrical services that has redefined its market position through "unmatched" modular and off-site construction capabilities. The company's modular strategy is anchored by key acquisitions which allow for the prefabrication of complex mechanical, electrical, and plumbing (MEP) systems in controlled factory environments rather than at traditional construction sites. Modular revenue represented 17% 1H26 of total activity, up from ~10% in 2022. This capability has made Comfort Systems a primary beneficiary of the AI infrastructure cycle, as hyperscale data center providers—which accounted for 57% of 1H26 revenue—increasingly favor modular solutions for their speed and reliability.

The company recorded a US\$14.06bn backlog in end 1H26, much of which is driven by new bookings in modular operations for technology customers. Management views modularity as a long-term structural advantage that mitigates skilled labor shortages through factory automation, including the use of AI-assisted robotic welding. As modular adoption moves beyond data centers into pharmaceuticals and energy storage, Comfort Systems is positioned to sustain high-margin growth by delivering complex infrastructure faster and safer than traditional "stick-built" competitors.

Figure 30. FIX – Order Backlog

BACKLOG

(\$ Millions) (Unaudited)



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Source: Citi Research, Company Reports

Container Business

Business model

Containers are standardized intermodal load units that allow goods to move between sea, rail, and road without re-handling. The mechanism that gives its economic value is unit-load standardization: by collapsing an arbitrary number of cargo SKUs into a single ISO-spec module, the system eliminates per-package handling at every transfer point.

Sector-wise product mix is dominated by dry standard containers, which represent ~90% of the global fleet by units. Reefers (refrigerated) and special types (open-top, flat-rack, tank) account for the rest but command a share of value: reefer ~20% while dry container 70-75%.

Demand decomposition and forecasts

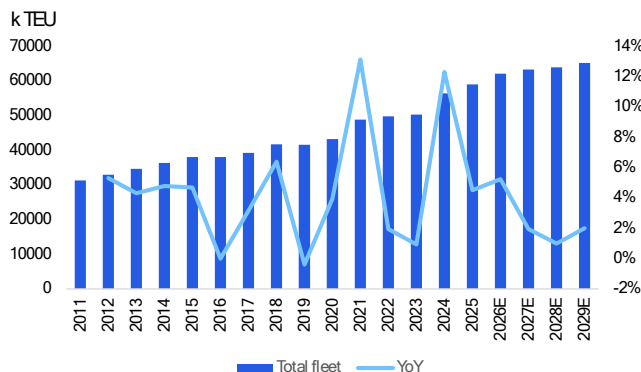
Container demand consists of three components: 1) replacement of retired container; 2) new additions to maintain the target container fleet, which is affected by 3) container turnover/productivity factor (how fast a container circulates). Detouring, port congestion, longer inland transportation cycle, and carriers' incentive to increase container stock can decrease the container turnover and thus increase the demand for container.

Global container fleet size was ~59m TEU in 2025 (according to Drewry data), 42% higher than 2019. Global fleet size used to grow at the same pace of global container trade, but started to outgrow by 29% over 2025-2019. This is primarily attributed to the decrease in turnover factor, which fell by 20% since 2019.

We summarize three key findings:

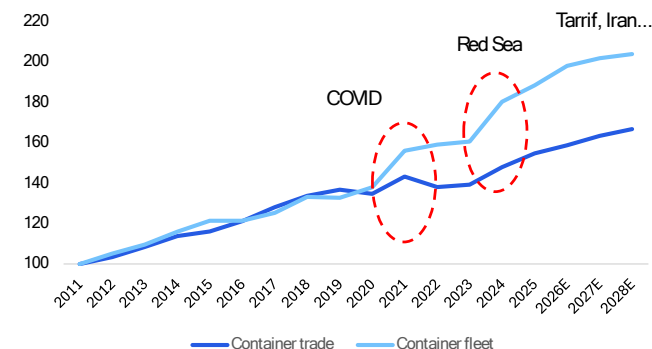
- The **container sector entered a downcycle** in 2025 that we anticipate will persist through 2028E, absent any major escalation in geopolitical conflicts. We forecast global annual demand/production volume to decrease to ~6.3m TEU, down by 3% in 2026E, 32% in 2027E, and 18% in 2028E, before rebounding ~30% in 2029E (see below). This outlook primarily reflects the record-breaking container ordering waves of 2021 and 2024, driven by COVID-era demand and the Red Sea crisis. Annual replacement demand of ~3m TEU will establish the demand floor over 2026E-28E, on our estimate.
- The post-COVID surge in container fleet size—42% higher in 2025 vs. 2019—stems from materially **lower container turnover/productivity factor** (which measures how fast a container circulates). Contributing factors include Red Sea route detouring, port congestion, extended inland transportation cycles, near-shoring, and carriers' strategic decisions to increase container inventory amid increasingly frequent geopolitical disruptions.
- **Three mitigating factors** underpin our not-bearish stance: (1) the container sector has undergone a structural shift, with the operating fleet now materially elevated versus pre-COVID levels (42% higher) due to persistently lower efficiency; (2) geopolitical risk remains elevated (though unpredictable and therefore excluded from our base-case model), which could trigger sudden demand surges; and (3) investor expectations are already depressed.

Figure 31. Global Container Fleet Size



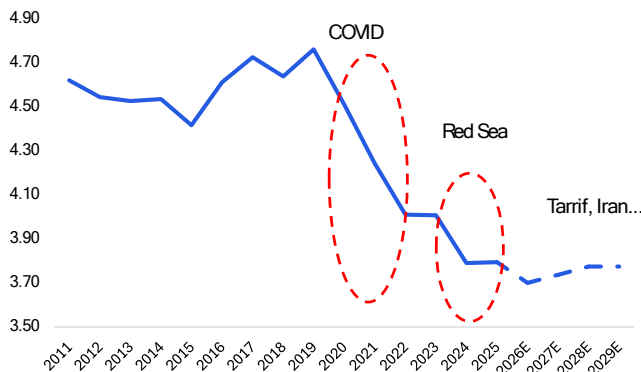
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Source: Citi Research, Drewry, Company Reports

Figure 32. Global Container Trade and Container Fleet (index)



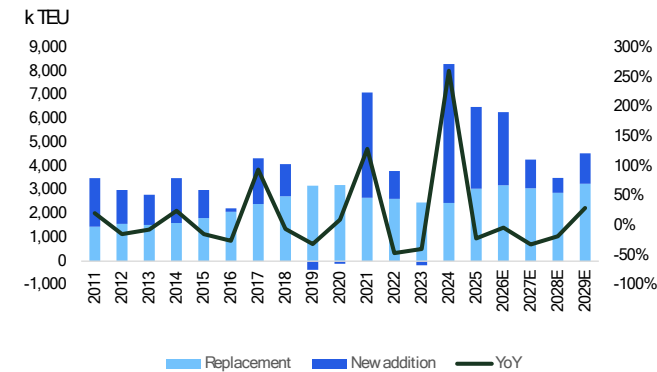
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Source: Citi Research, Clarkson, Drewry, Company Reports

Figure 33. Global Container Turnover Factor



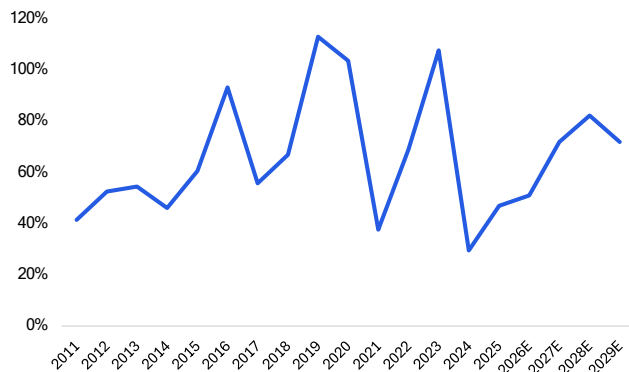
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Figure 34. Global Container Demand Breakdown



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Figure 35. Replacement as % of Container Demand



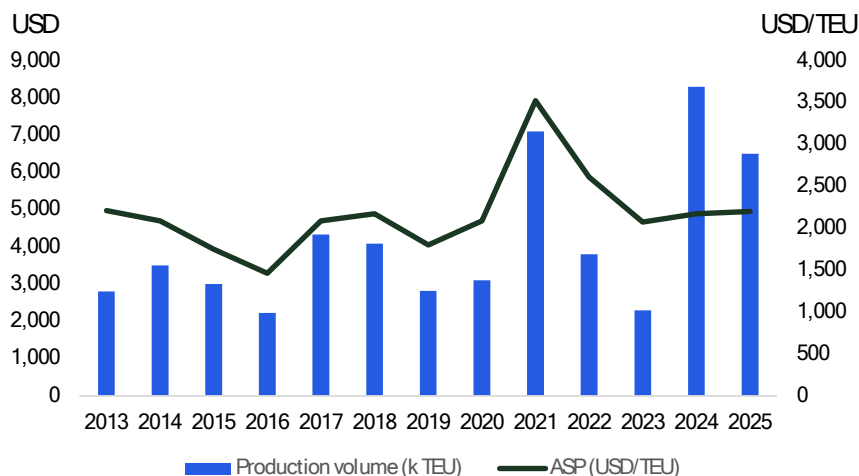
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Source: Citi Research, Company Reports

Prices and costs

Cost breakdown: steel (~50%), paint (~15%, crude-oil linked), wooden floor (<10%), and labor. According to CIMC, container costs can be passed through in a mature mechanism to maintain a stable gross margin.

Container ASP stabilized between 2,000–2,220 USD/TEU over 2023–2025.

Figure 36. Container ASP and Global Production Volume



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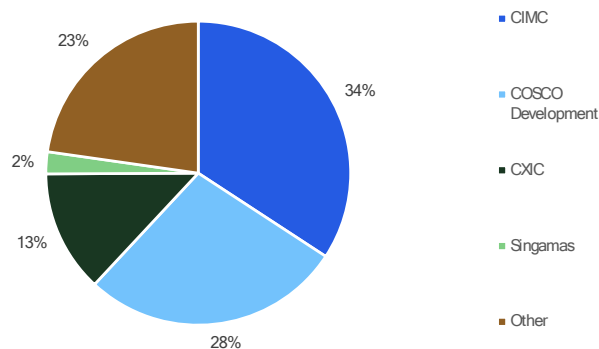
Source: Citi Research, Company Reports

Competitive landscape

CIMC is the global No.1 player by volume with 34% market share in 2025, followed by COSCO Shipping Development (601866.SS) with an increased market share of 28% in 2025 after the acquisition of several container factories business from Singamas in 2019 (at Rmb3,800m). The two majors accounted for 62% in 2025, and China accounted for ~95% of global production volume.

We anticipate the competitive landscape to remain stable, but production capacity still exceeds demand.

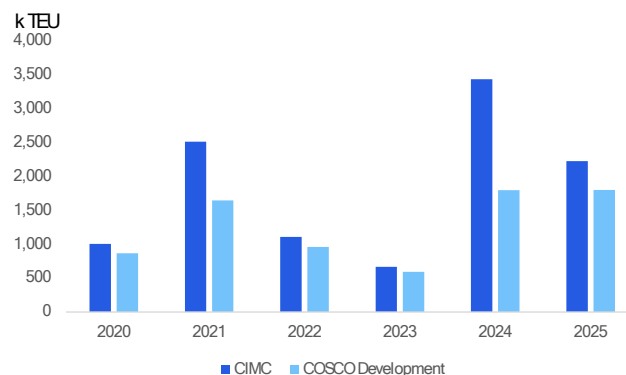
Figure 37. CIMC and COSCO Development – Dominating >60% Global Container Production Market Share



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Source: Citi Research, Drewry, Company Reports

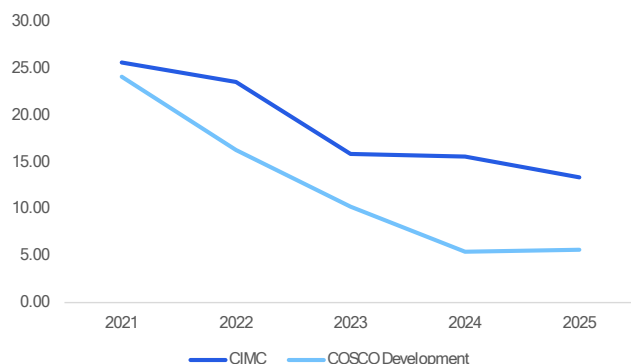
Figure 38. CIMC vs. COSCO Development – Container Output Volume Comparison



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Source: Citi Research, Drewry, Company Reports

Figure 39. CIMC has a higher gross margin than COSCO Development in container manufacturing



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Source: Citi Research, Company Reports, Wind

Regulatory issues

US DOJ indictment

On 19 May 2026, the US Department of Justice (DOJ) unsealed an [indictment](#) against CIMC and its alleged co-conspirators—Singamas, Dong Fang, and CXIC Group—for operating a price-fixing cartel from 2019 to 2024. The group is accused of restricting container output to inflate prices during the global supply chain crisis. The case has progressed with the arrest of Singamas executive Vick Ma in France on 14 April 2026, whose extradition to the US is now pending.

In the DOJ's criminal prosecution, executives can face up to 10 years imprisonment. For the corporation, the Sherman Act's US\$100m statutory fine is often superseded. Judges may use federal guidelines to recommend a fine based on 20% of affected commerce, or apply the Alternative Fines Act – a penalty of up to twice the gross financial gain to the company or twice the loss to victims, whichever is greater.

Despite the lawsuit likely lasting for years, we think the share price has likely priced in investors' concerns about exposure related to the allegations.

Energy, Chemicals, and Liquid Food Business: CIMC Enric

69.94% shareholding, 30% of 2026E attributable profit, 13% of target valuation.

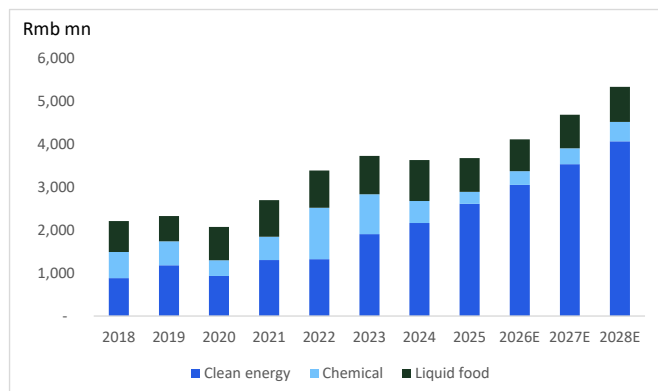
The segment is mostly represented by CIMC Enric (3899.HK), covered by Jamie Wang, with a negligible discrepancy made from a Germany LNG terminal design company, TGE Gas Engineering.

Enric embeds an investment case of a multi-driver momentum in clean energy revenue growth (LNG bunker, green bio-methanol, hydrogen) + chemical business recovery, with thematic opportunity of commercial aerospace and hydrogen development.

As a conglomerate itself, Enric has three segments:

- **Clean Energy** (74% of Enric's 2026E gross profit): natural gas and LNG tanks, LNG bunkering vessels construction (shipbuilding), Bio-methanol production, coke oven gas conversion.
- **Chemical and Environmental** (8% of Enric's 2026E gross profit): chemical road tankers, specialty chemical bulk containers.
- **Liquid Food Equipment** (18% of Enric's 2026E gross profit): beer brewing turnkey engineering.

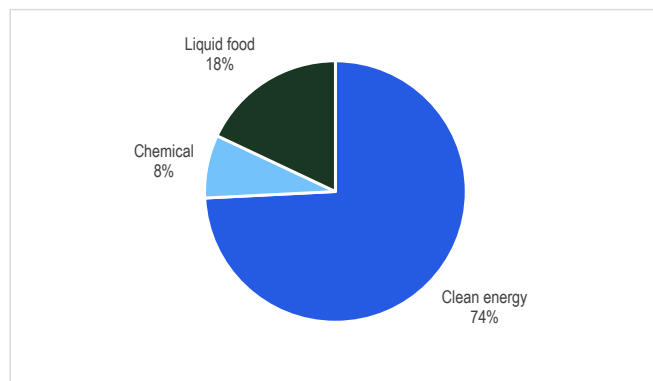
Figure 40. CIMC Enric – Gross Profit Forecasts Breakdown



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Source: Citi Research Estimates

Figure 41. CIMC Enric – 2026E Gross Profit Mix



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Source: Citi Research Estimates

Other Businesses

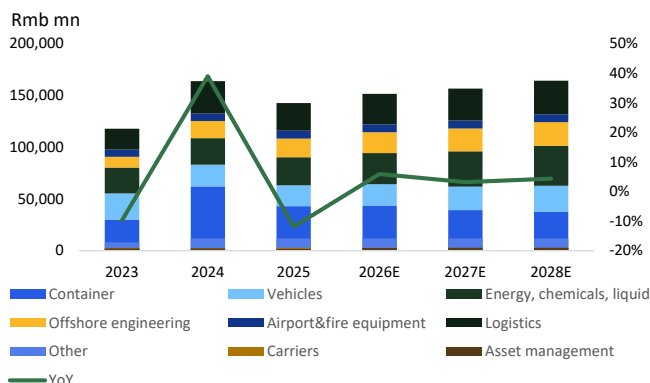
See Appendix I for details on smaller business segments.

Financial Forecasts

Revenue and profit trends

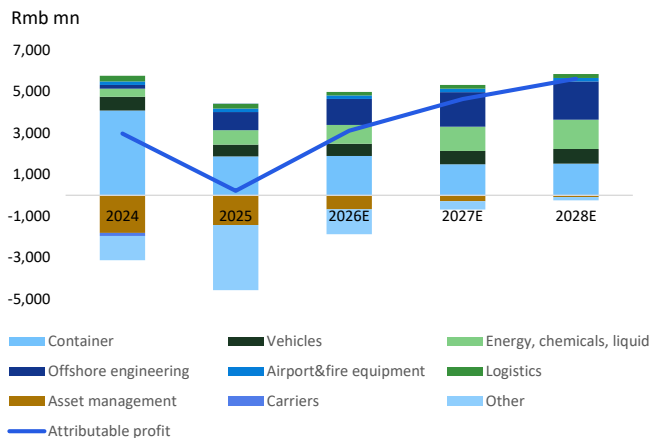
CIMC's 2025 attributable profit was only Rmb221m, down ~Rmb2.8bn yoy primarily due to 1) net decline of FX gain of Rmb1.4bn (FX loss of Rmb1.1bn in 2025) and 2) ~Rmb1.1bn loss from real-estate project disposal by its real-estate associate company CIMC City (中集产城, 45.92% shareholding). With a lesser burden, we forecast CIMC to normalize profit in 2026E-28E (27% CAGR) as it delivers the backlog in Offshore Engineering (33-35% 2026E-28E attributable profit).

Figure 42. CIMC – Revenue Breakdown and Forecasts



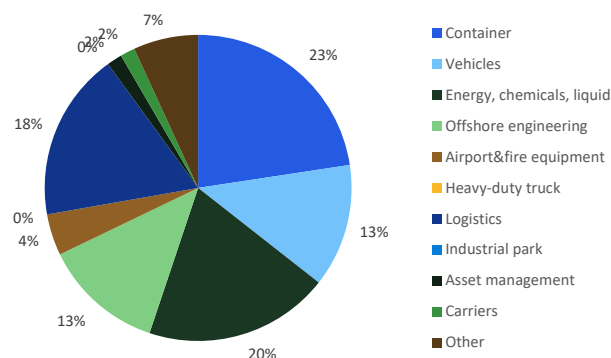
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Figure 44. CIMC – Attributable Profit Breakdown and Forecasts



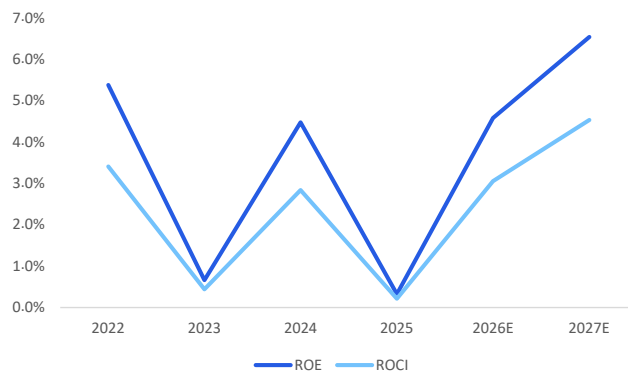
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Figure 43. CIMC – Revenue Mix 2027E



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Figure 45. CIMC – ROE and ROIC Forecasts



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1H26E & 2Q26E preview

We expect a 17% profit decline for 2Q26E to Rmb611m (vs. -62% to Rmb209m in 1Q26), driven by an FX loss of Rmb430m from Rmb appreciation, given >50% of revenue is FX-exposed, on our estimate. **Absent this FX loss, we estimate 2Q26E profit would have grown 23-35% yoy**, which we see as in line with market expectation in April-May (previous share-price high).

In terms of earnings revisions, we believe the 2026E market consensus profit was revised down by ~Rmb600m almost entirely on FX headwinds (Bloomberg data suggest sell side has not fully updated 2026 EPS forecasts).

We think the company is on track with its operational target, and the company's profit growth should turn positive in 2H26E on low base, the start of what we expect to be a multi-year profit upcycle.

Figure 46. CIMC – 1H26E Forecasts

CIMC	2025	2026E	YoY	1H26E	YoY	2H26E	YoY	1Q26	YoY	2Q26E	YoY
Revenue	156,611	165,944	6%	77,601	2%	88,343	10%	32,664	-9%	44,937	12%
Container	43,009	43,718	2%	21,061	-3%	22,656	7%	n.a.	n.a.	n.a.	n.a.
Vehicles	20,178	20,581	2%	9,948	2%	10,633	2%	n.a.	n.a.	n.a.	n.a.
Energy, chemicals, liquid	27,192	30,096	11%	13,009	0%	17,088	20%	n.a.	n.a.	n.a.	n.a.
Offshore engineering	17,938	20,028	12%	9,013	12%	11,015	11%	n.a.	n.a.	n.a.	n.a.
Airport&fire equipment	7,619	7,619	0%	3,120	0%	4,499	0%	n.a.	n.a.	n.a.	n.a.
Logistics	26,793	29,473	10%	14,529	7%	14,944	13%	n.a.	n.a.	n.a.	n.a.
Asset management	1,849	2,549	38%	1,225	35%	1,325	41%	n.a.	n.a.	n.a.	n.a.
Carriers	2,702	2,702	0%	1,336	0%	1,366	0%	n.a.	n.a.	n.a.	n.a.
Other	11,890	11,890	0%	5,716	0%	6,173	0%	NA	NA	NA	NA
Inter-segment	-2,560	-2,712	6%	-1,356	25%	-1,356	-8%	NA	NA	NA	NA
COGS	-137,116	-144,164	5%	-66,699	0%	-77,465	10%	-28,894	-9%	-37,805	9%
Gross profit	19,495	21,780	12%	10,902	13%	10,878	10%	3,770	-14%	7,132	35%
Taxes and surcharges	-600	-636	6%	-318	6%	-318	6%	-163	15%	-154	-2%
Selling Expense	-2,707	-2,868	6%	-1,434	10%	-1,434	2%	-621	-1%	-813	21%
G&A expenses	-6,319	-6,696	6%	-3,348	3%	-3,348	9%	-1,477	-8%	-1,871	15%
R&D expenses	-2,788	-2,954	6%	-1,477	25%	-1,477	-8%	-586	19%	-891	29%
Other	-1,410	-1,778	26%	-300	-13%	-1,478	39%	-26	1%	-274	-14%
Adjusted operating profit	5,671	6,848	21%	4,025	23%	2,823	18%	896	-39%	3,129	73%
Net interest income	-825	-649	-21%	-439	-15%	-210	-31%	-	NA	-439	-15%
FX gain (loss)	-1,111	-1,000	-10%	-720	1416%	-280	-74%	-300	NA	-420	784%
Other finance income	-97	-129	33%	-61	0%	-68	89%	-150	-58%	89	-70%
Other	-821	602	NA	-441	NA	1,043	NA	170	38%	-611	NA
Pre-tax profit	2,816	5,672	101%	2,364	-16%	3,308	18288%	615	-50%	1,748	12%
Tax	-1,479	-1,134	-23%	-709	-31%	-425	-4%	-203	-60%	-506	-3%
Net profit	1,337	4,537	239%	1,655	-6%	2,883	NA	412	NA	1,242	NA
Attributable profit	221	3,112	1309%	820	-36%	2,292	NA	209	-62%	611	-17%
Container	1,882	1,902	1%	886	-39%	1,016	132%				
Vehicles	566	584	3%	292	17%	292	-8%				
Energy, chemicals, liquid	688	906	32%	293	3%	614	52%				
Offshore engineering	881	1,250	42%	562	140%	687	6%				
Airport&fire equipment	168	168	0%	51		117	0%				
Logistics	228	175	-23%	87	-31%	88	-13%				
Asset management	-1,426	-673	-53%	-370	-50%	-303	-56%				
Carriers	5	-		-11	0%	11	-33%				
Other	-3,140	-1,200	-62%	-970	3215%	-230	-93%				
Inter-segment	368	-		-		-					
Core profit	-31	3,155	NA	841	-32%	2,315	NA	167	-68%	673	-6%
EPS (CNY)	0.03	0.56	1771%	0.15	-34%	0.41	NA	0.04	-64%	0.12	-12%
Core EPS (CNY)	-0.02	0.57	NA	0.15	-31%	0.41	NA	0.03	-70%	0.13	-2%
Margin											
Gross margin	12.4%	13.1%	0.7pp	14.0%	1.4pp	12.3%	0.1pp	11.5%	-0.6pp	15.9%	2.7pp
Net margin	0.9%	2.7%	1.9pp	2.1%	-0.2pp	3.3%	3.8pp	1.3%	1.3pp	2.8%	2.8pp
Attributable margin	0.1%	1.9%	1.7pp	1.1%	-0.6pp	2.6%	3.9pp	0.6%	-0.9pp	1.4%	-0.5pp
Expenses ratio											
SG&A ratio	-7.9%	-7.9%	0pp	-8.5%	-0.6pp	-7.4%	0.5pp	-8.7%	-0.8pp	-8.3%	-0.4pp
Selling exp.	-1.7%	-1.7%	0pp	-1.8%	-0.1pp	-1.6%	0.1pp	-1.9%	-0.2pp	-1.8%	-0.1pp
Admin exp.	-4.0%	-4.0%	0pp	-4.3%	-0.1pp	-3.8%	0pp	-4.5%	-0.1pp	-4.2%	-0.1pp
R&D exp.	-1.8%	-1.8%	0pp	-1.9%	-0.3pp	-1.7%	0.3pp	-1.8%	-0.4pp	-2.0%	-0.3pp
Finance exp.	-1.3%	-1.1%	0.2pp	-1.6%	-0.7pp	-0.6%	1.1pp	-1.4%	-0.4pp	-1.7%	-1pp
Tax rate	-52.5%	-20.0%	32.5pp	-30.0%	7pp	-12.9%	2458.4pp	-33.0%	8.6pp	-28.9%	4.3pp

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Source: Citi Research Estimates, Company Reports

Consensus comparisons

Our 2026E EPS is 22% below Bloomberg consensus as we are the first to factor in a worse-than-expected FX loss. Our 2027E-28E EPS forecasts are 4-12% below Bloomberg consensus due to an 8-10% below-consensus revenue forecast, as we expect container downcycle until 2029E, and we include the perpetual bond impact on EPS.

Figure 47. CIMC –Financial Forecasts vs. Bloomberg Consensus 2026E–28E

	2026E	2027E	2028E
<i>Revenue</i>	-3%	-8%	-10%
<i>Gross margin</i>	-0.2pp	-0.1pp	-0.5pp
<i>Gross profit</i>	-4%	-8%	-12%
<i>Net profit</i>	-19%	-5%	-9%
<i>EPS</i>	-22%	-4%	-12%

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Source: Citi Research Estimates, Bloomberg

Financial statements

Figure 48. CIMC – Income Statement

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	94,159	163,696	141,537	127,810	177,664	156,611	165,944	171,236	178,773
COGS	-80,715	-134,176	-119,912	-110,212	-155,417	-137,116	-144,164	-147,435	-153,658
Gross profit	13,444	29,520	21,625	17,598	22,247	19,495	21,780	23,801	25,115
Taxes and surcharges	-709	-634	-551	-541	-656	-600	-636	-656	-685
Selling Expense	-1,990	-2,759	-2,452	-2,761	-2,628	-2,707	-2,868	-2,960	-3,090
G&A expenses	-4,896	-5,801	-7,012	-6,505	-6,955	-6,319	-6,696	-6,910	-7,214
R&D expenses	-1,609	-2,252	-2,463	-2,429	-2,709	-2,788	-2,954	-3,048	-3,182
Asset impairment loss	-582	-4,324	-459	-526	-416	-761	-300	-300	-300
Credit impairment loss	-395	-631	-318	-145	-492	-650	-300	-300	-300
Other op gain	-	-	-	-	-	-	-	-	-
Adjusted operating profit	3,263	13,119	8,370	4,690	8,391	5,671	6,848	9,476	10,490
Finance expenses (-)	-2,097	-1,507	24	-1,507	-1,365	-2,033	-1,778	-753	-455
Interest income (+)	320	350	322	327	483	684	723	784	759
Interest expense (-)	-1,592	-1,369	-1,335	-1,943	-2,040	-1,508	-1,372	-1,208	-1,084
FX (+)	-649	-367	1,177	253	339	-1,111	-1,000	-200	-
Other (+)	-175	-122	-140	-144	-147	-97	-129	-129	-129
Investment income	5,301	1,268	-595	-334	-494	-1,410	200	-	-
JV and associate	474	-235	153	199	-34	-1,465	-	-	-
Gains from disposal of assets	116	17	243	24	114	32	50	50	50
Fair value change	145	-72	-1,077	-611	-669	-31	-	-	-
Other gains (loss)	712	647	541	571	576	613	352	-943	-847
Operating profit	7,440	13,472	7,505	2,832	6,553	2,842	5,672	7,830	9,237
Non-operating income	249	124	147	125	250	224	-	-	-
Non-operating expense	-398	-300	-714	-123	-207	-250	-	-	-
Profit before tax	7,290	13,295	6,938	2,834	6,595	2,816	5,672	7,830	9,237
Tax	-1,279	-4,934	-2,337	-971	-2,400	-1,479	-1,134	-1,566	-1,847
Net profit	6,012	8,361	4,601	1,863	4,195	1,337	4,537	6,264	7,390
MI	-662	-1,695	-1,382	-1,442	-1,223	-1,117	-1,425	-1,627	-1,775
Attributable net profit	5,350	6,665	3,219	421	2,972	221	3,112	4,637	5,615
Core attributable net profit	343	5,473	4,284	665	3,451	-31	3,155	4,684	5,663
Perpetual bond impact on profit	(273.98)	(175.27)	(55.44)	(64.20)	(107.45)	(85.25)	(85.25)	(85.25)	(85.25)
Subsidiaries share payment (dilution)	(1.37)	(26.05)	(100.08)	(75.41)	(33.62)	(8.53)	(8.53)	(8.53)	(8.53)
No. of shares at end period	3,595	3,595	5,393	5,393	5,393	5,393	5,393	5,393	5,393
A-share						2,303	2,303		
H-share						3,090	3,090		
Number of shares (from EPS)	3,794	3,682	5,456	6,018	5,608	7,361			
Weighted average diluted shares	3,794	3,703	5,393	5,393	5,370	5,351	5,393	5,393	5,393
Basic EPS	1.41	1.81	0.59	0.07	0.53	0.03	0.561	0.844	1.025
Diluted EPS	1.41	1.80	0.57	0.05	0.53	0.02	0.560	0.843	1.024
Core EPS	0.02	1.47	0.79	0.11	0.62	(0.020)	0.569	0.853	1.034

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Source: Company Reports, Citi Research Estimates

Figure 49. CIMC – Balance Sheet

BALANCE SHEET	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash	12,181	16,443	17,112	21,324	21,621	24,264	26,317	25,453	26,198
Financial asset available for sale	198	445	1,061	338	1,359	1,227	1,227	1,227	1,227
Inventories	15,472	19,837	18,332	19,200	19,736	18,150	19,917	20,369	21,228
Receivables	20,542	27,487	23,555	24,744	33,570	27,167	32,178	33,204	34,666
Prepayment, deposits, and other receival	3,335	3,447	6,023	8,484	7,049	6,765	6,765	6,765	6,765
Contact assets	2,384	2,821	3,928	7,198	9,752	9,869	9,869	9,869	9,869
Other current assets	13,030	10,976	6,974	7,152	7,676	6,992	2,000	2,000	2,000
Current assets	67,142	81,457	76,984	88,440	100,763	94,435	98,273	98,887	101,953
PPE	35,284	34,981	39,198	40,312	43,917	43,790	44,491	44,877	45,236
Assets under construction	9,833	9,072	4,741	4,484	1,806	2,266	2,000	2,000	2,000
Intangible	4,812	4,544	4,331	5,874	5,872	5,735	5,735	5,735	5,735
User right	785	865	875	1,091	1,152	1,154	1,154	1,154	1,154
Goodwill	2,177	2,268	2,517	2,654	2,517	2,520	2,520	2,520	2,520
Investment properties	1,438	1,386	1,453	1,370	1,351	1,533	1,533	1,533	1,533
Prepayments	558	503	913	866	832	615	615	615	615
Investments in JV & associates	9,099	8,469	10,532	11,997	12,017	10,319	10,319	10,319	10,319
AFS investments	1,171	1,167	2,699	2,169	1,948	1,784	1,784	1,784	1,784
Deferred tax assets	1,674	1,266	1,107	1,515	1,699	1,750	1,750	1,750	1,750
LT receivables	11,977	7,918	35	54	52	59	59	59	59
Other LT assets	259	425	515	939	826	834	834	834	834
Non-current assets	79,070	72,865	68,916	73,323	73,989	72,360	72,795	73,181	73,539
Total Assets	146,212	154,323	145,900	161,763	174,752	166,796	171,068	172,067	175,492
Interest-bearing borrowings	8,417	7,205	4,371	12,401	11,261	8,680	8,680	8,680	8,680
LT liabilities due in 1 year	14,585	12,434	4,191	9,676	4,297	4,568	4,568	4,568	4,568
Account payables	17,277	22,720	19,692	24,863	32,987	31,129	33,706	34,471	35,925
Unearned revenue	6,106	7,444	12,216	13,064	14,606	15,332	15,861	16,367	17,087
Dividend payable	0	0	0	45	129	0	0	0	0
Tax payable	1,483	2,870	4,904	1,170	2,409	1,827	1,827	1,827	1,827
Financial liabilities	7,857	10,112	8,371	8,108	5,869	5,896	5,896	5,896	5,896
Others	5,170	6,636	9,254	9,659	9,301	8,897	8,897	8,897	8,897
Current liabilities	60,895	69,423	62,998	78,985	80,857	76,328	79,434	80,704	82,879
Interest-bearing borrowings	19,562	21,652	16,214	13,523	19,378	15,024	14,024	10,024	7,024
Bond payable	6,089	1,235	1,896	1,960	4,036	6,077	6,077	6,077	6,077
LT trade payables	0	0	0	0	0	0	0	0	0
Deferred income	3,882	3,611	291	567	499	533	533	533	533
Others	1,929	1,422	1,845	2,097	1,963	2,022	2,022	2,022	2,022
Non-current liabilities	31,463	27,920	20,246	18,148	25,876	23,656	22,656	18,656	15,656
Total Liabilities	92,358	97,342	83,244	97,133	106,732	99,985	102,090	99,360	98,536
Share capital	3,595	3,595	5,393	5,393	5,393	5,393	5,393	5,393	5,393
Reserves	5,463	5,524	4,208	4,549	4,337	4,127	4,127	4,127	4,127
Equity tools/perpetual	4,308	0	2,050	2,050	4,093	4,064	4,064	4,064	4,064
Retained earnings	26,143	31,627	31,598	30,802	33,632	32,924	35,091	38,820	43,070
Others	4,508	4,372	5,366	5,065	4,165	3,883	3,883	3,883	3,883
Equity attributable to shareholders	44,018	45,119	48,613	47,858	51,619	50,392	52,559	56,288	60,537
Non-controlling interests	9,836	11,861	14,043	16,773	16,400	16,419	16,419	16,419	16,419
Total Equity	53,854	56,980	62,656	64,630	68,020	66,811	68,978	72,707	76,956

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Source: Company Reports, Citi Research Estimates

Figure 50. CIMC – Cash Flows Statement

Cashflow Statement	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before taxation	7,290	13,295	6,938	2,834	6,595	2,816	5,672	7,830	9,237
Interest expense	1,592	1,369	1,335	1,943	2,040	1,508	1,372	1,208	1,084
Interest income	-320	-350	-322	-327	-483	-684	-723	-784	-759
D&A	3,498	3,335	3,514	3,585	4,052	4,480	3,065	3,114	3,141
Fair value change	-145	72	1,077	611	669	31	-	-	-
Tax paid	-1,279	-4,934	-2,337	-971	-2,400	-1,479	-1,134	-1,566	-1,847
Asset impairment	977	4,955	777	671	908	1,410	600	600	600
Investment income	-5,301	-1,268	595	334	494	1,410	-200	-	-
Gain on disposals (PPE)	-116	-17	-243	-24	-114	-32	-50	-50	-50
Change in working capital	24,571	-4,528	7,181	3,962	304	6,857	-3,672	-208	-146
Inventories	-25,830	4,365	-1,506	869	536	-1,585	1,766	452	860
Receivables	274	6,945	-3,933	1,189	8,826	-6,403	5,011	1,026	1,461
Payables	-985	6,782	1,743	6,019	9,665	-1,131	3,105	1,271	2,175
Others	-17,958	8,647	-3,898	-9,916	-2,800	2,196			
Operating cash flows	12,810	20,575	14,617	2,703	9,264	18,514	4,929	13,100	15,903
Capex	-4,375	-9,191	-13,962	-14,523	-22,627	-17,500	-11,500	-11,500	-11,500
Fair value change	145	-72	-1,077	-611	-669	-31	-	-	-
Investment income	5,301	1,268	-595	-334	-494	-1,410	200	-	-
Gain on disposals (PPE)	116	17	243	24	114	32	50	50	50
Interest income	320	350	322	327	483	684	723	784	759
Others	-5,044	4,785	8,811	6,943	16,561	14,459	13,973	5,823	3,989
Investing cash flows	-3,538.80	-2,843	-6,258	-8,175	-6,630	-3,767	3,446	-4,843	-6,702
Share issuance/capital contribution	893	-4,247	2,531	341	1,831	-238	-	-	-
Dividends paid	-430	-1,007	-2,481	-971	-118	-945	-945	-908	-1,366
Borrowings	-17,452	-6,128	-15,854	10,888	1,410	-4,622	-1,000	-4,000	-3,000
Interest expense	-1,592	-1,369	-1,335	-1,943	-2,040	-1,508	-1,372	-1,208	-1,084
Others	12,042	564	7,375	1,389	-5,328	-3,006	-3,006	-3,006	-3,006
Financing cash flows	-6,540	-12,187	-9,763	9,705	-4,244	-10,320	-6,323	-9,122	-8,456
FX impact	-182	-225	786	205	245	-622	0	0	0
Net change in cash	2,550	5,320	-618	4,439	-1,366	3,806	2,052	-864	745
BoP cash balance	8,660	11,210	16,530	15,912	20,351	18,985	22,792	24,844	23,980
EoP cash balance	11,210	16,530	15,912	20,351	18,985	22,792	24,844	23,980	24,725
Pledged deposit		-87	1,199	974	2,636	1,473	1,473	1,473	1,473

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Source: Company Reports, Citi Research Estimates

Valuation Analysis

SOTP valuation

We believe a sum-of-the-parts (SOTP) is the best method to reflect the value of each segment of CIMC Group. We value the company at Rmb67.3bn, with a target price of **Rmb12.5** for the A-share.

1. **Container business** (57% of 2026E attributable net profit, excluding AIDC-related business,) accounts for 25% of our target valuation, based on **0.8x 2026E P/B**, below its container peer COSCO Development (601866.SS) which has traded at about six-month average of 1.0 P/B (6m range 0.9-1.4), a discount that we believe reflects the DoJ probe overhang.
2. **AIDC business** (4% of 2026E attributable net profit) accounts for 13% of our target valuation, based on **22x P/E on 2028E** Rmb413m profit forecast (we anchor 2028E as we anticipate the profit will grow into a meaningful scale that reflects the current order backlog). Our 22x 2028E P/E multiple is conservatively benchmarked at a discount to peer Comfort Systems USA (FIX.N), which exhibits a similar business prospects and revenue growth trajectory, and has traded at an average two-year forward P/E of 25x since 2023.
3. **Offshore Engineering business** (40% of 2026E attributable profit) makes up 32% of target valuation, which is derived using **13x 2027E P/E**, a slight discount to the close peers' average two-year forward P/E since 2023 (Seatrium 15x, Hanwha 18x, SHI 14x, HHI16.7x). We anchor 2027E when we believe the segment will ramp up to a normalized profit level based on its current backlog. This valuation corresponds to 17x 2026E P/E and 12x 2028E P/E on our forecast, also on par with comparables.
4. **CIMC Vehicle** (301039.SZ, 19% of 2026E attributable profit) and **CIMC Enric** (3899.HK, 36% of 2026E attributable profit) account for a combined 22% of valuation, derived from their **average trading market cap** for the past six months, assuming 30% conglomerate discount and 0.9 HKD/RMB exchange rate, and adjusted for the corresponding shareholding ratio.
5. **Others** (8% of target valuation): Logistics (6% of 2026E attributable profit) and Airport, Fire, Logistics Equipment segment (5% of 2026E attributable profit) together account for ~6% of valuation), we apply 13x P/E on par with peers over past six months' average on its 2027E earnings. Carrier segment made up 2% of valuation based on 0.5x P/B.
6. Of note, we have not considered a separate valuation for the **Asset Management segment**. We assume the Asset Management valuation is largely offset by Headquarter expenses segment (negative value), as both carry significant debt that may fund other segments. The combined equity value of these two segments totaled ~Rmb2bn in 2025, which we view as having minimal impact on our overall valuation framework.

Our H-share target price of **HK\$11.0** assumes 0.9HKD/RMB exchange rate and 20% A-H discount from A-share, narrower than the six-year average of 30% considering a potential new H-share buyback, per various company announcements, which contributed to ~10% outperformance vs. A-share in May to July.

Figure 51. CIMC – SOTP Valuation

	Valuation method	Applicable profit/book value base	Multiple	Market cap (Rmb m)	Conglomerate discount	Valuation	Shareholding	Valuation	As %	2026E profit mix% #
Container						25,945	100%	25,945	39%	61%
Container (ex-IDC)*	2026E P/B	20,548	0.8			16,849	100%	16,849	25%	57%
IDC (MBS)*	2028E PE	413	22			9,096	100%	9,096	14%	4%
Offshore Engineering*	2027E PE	2,000	13			26,000	83%	21,658	32%	40%
Vehicle**	Avg mkt cap			12,907	30%	9,035	61%	5,523	8%	19%
Enric**	Avg mkt cap			18,265	30%	12,786	70%	8,958	13%	29%
Logistics	2027E PE	427	13			5,550	43%	2,387	4%	6%
Airport , Fire, Logistics Equipment	2027E PE	264	13			2,184	64%	1,389	2%	5%
Carrier	2026E P/B	4,528	0.5			2,264	64%	1,439	2%	0%
A-share SOTP valuation (Rmb m)								67,299	100%	
No. of shares								5,393		
Target price (Rmb)								12.5		
H-share discount								20%		
HKD/Rmb								0.9		
H-share target valuation (HKDm)								59,164		
H-share target price (HKD)								11.0		

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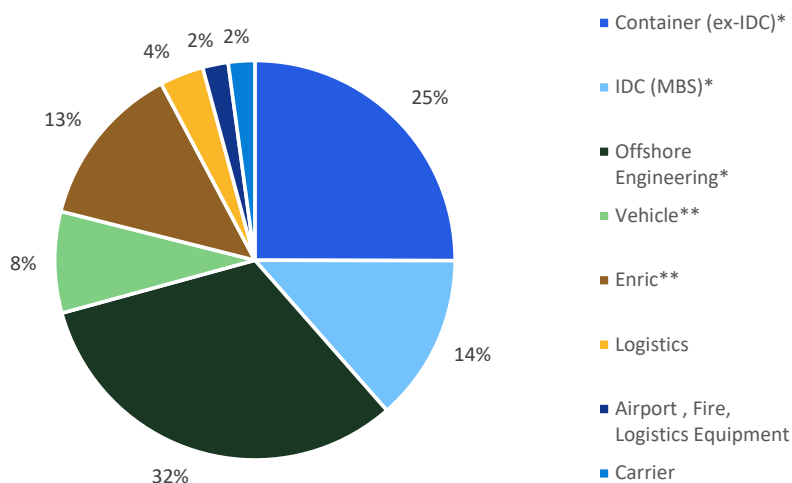
*the key drivers of our valuation/investment case;

**average market cap over the past 6 months

The sum of the profit contribution % does not equal 100% because some loss-making/costs bearing segments are not shown in this table

Source: Citi Research Estimates

Figure 52. CIMC – SOTP Valuation Breakdown



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Source: Citi Research Estimates

- Our A-share target price implies P/E ratios of 22x/15x/12x for 2026E/27E/28E and P/B ratios of 1.3x/1.2x/1.1x for 2026E/27E/28E. CIMC A-share is currently trading near the 10-year average of 0.9x P/B.
- Our H-share target price implies P/E ratios of 18x/12x/10x for 2026E/27E/28E and P/B ratios of 1.0x/1.0x/0.9x for 2026E/27E/28E. CIMC H-share is currently trading near the 10-year average of 0.6x P/B.

Figure 53. CIMC – Implied Target P/E and P/B

Implied target valuation	2026E	2027E	2028E
P/E - A share	22.2	14.8	12.2
P/B - A share	1.3	1.2	1.1
P/E - H share	17.8	11.8	9.7
P/B - H share	1.0	1.0	0.9

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Source: Citi Research Estimates

Figure 55. Implied CIMC-A Container Forward P/E and P/B

Container valuation	16,849		
	2026E	2027E	2028E
Net profit (Rmb m)	1,762	1,211	1,119
Implied P/E	9.6	13.9	15.1
Book value (Rmb m)	21,662	22,708	23,781
Implied P/B	0.8	0.7	0.7

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Source: Citi Research Estimates

Figure 54. Implied CIMC-A Offshore Engineering Forward P/E

Offshore Engineering valuation	26,000		
	2026E	2027E	2028E
Net profit (Rmb m)	1,500	2,000	2,214
Implied P/E	17.3	13.0	11.7

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Source: Citi Research Estimates

Figure 56. Implied CIMC-A AIDC Unit Forward P/E

AIDC valuation	9,096		
	2026E	2027E	2028E
Net profit (Rmb m)	140	284	413
Implied P/E	65.0	32.1	22.0
FIX trading forward P/E	35.8	29.3	23.3

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Source: Citi Research Estimates

Trading dynamics

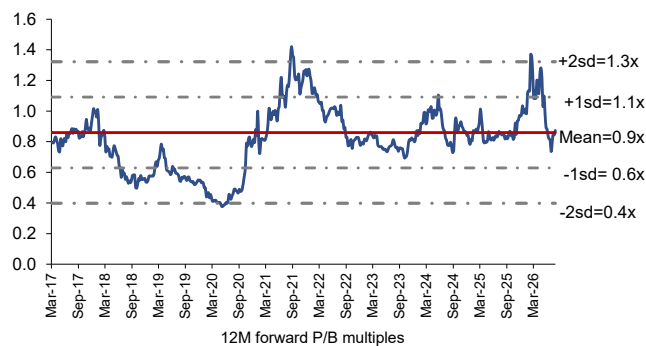
The A-share has been trading at an average of 0.9x 12-month forward P/B over the past 10 years and is now trading at around +1SD at 1.1x. The H-share has followed a similar pattern, now trading at 0.6x average.

We see the re-rating opportunity for the stock on 1) the turnaround of Offshore Engineering and the multi-year upcycle profit visibility from this segment, and 2) AIDC modular building opportunity.

Share price volatility: Historically viewed as a container play, the stock has exhibited significant volatility in both earnings and share price. Market recognition of its Offshore Engineering business began in 2025, with a November plant visit catalyzing a re-rating rally. In February 2026, CIMC shares surged as the market broadly recognized its AIDC business for the first time, riding China's AI sentiment hype (when the visibility was still low). The stock corrected since March following the Iran conflict outbreak and China Merchants' disposal of ~0.8% of outstanding shares (H-share, announced 7 May — the company's largest shareholder. The A/H-shares have both corrected ~34% from their early-May peaks, suggesting significantly more caution has been baked in regarding AI hype as well as container and FX headwinds, and we believe the stock offers an attractive risk/reward Buy opportunity.

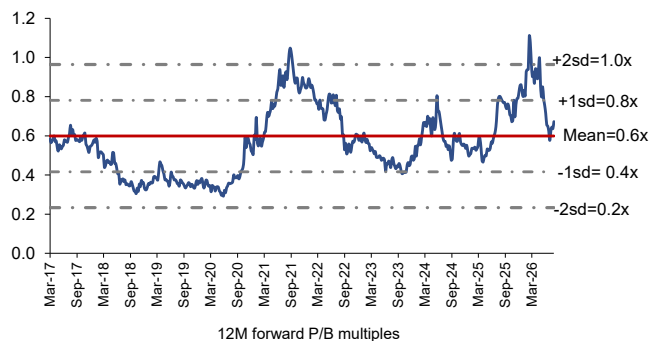
Catalysts: AIDC/FPSO/FLNG new order win; developments in Offshore Engineering segment.

Figure 57. CIMC-A – Historical P/B



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Source: Citi Research

Figure 58. CIMC-H – Historical P/B



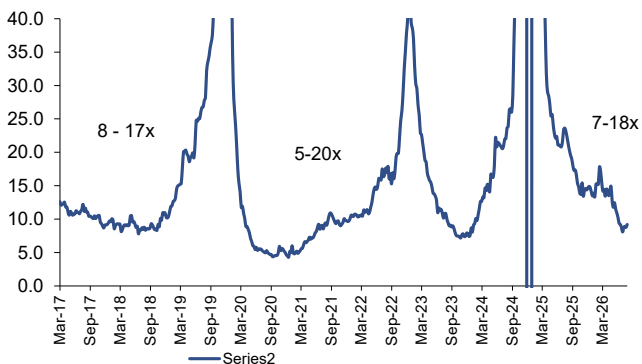
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Figure 59. CIMC-A – Historical P/E



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Figure 60. CIMC-H – Historical P/E



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Valuation comps

Figure 61. Valuation Comparables (pricing as of 11 Aug 2026 18:00 HK time)

Company	RIC	FY	End	Rating	Ccy	Price 11-Aug	Mkt-Cap US\$M	P/E (x)			P/S (x)			EV/EBITDA (x)			P/B (x)			25-27E 2yr EPS CAGR (%)
								FY26E	FY27E	FY28E				Y26E	FY27E	FY28E	FY26E	FY27E	FY28E	
CIMC	000039.SZ	Dec	1		CNY	9.1	3,110	16.0	10.7	8.8	0.3	0.3	0.3	2.6	1.8	1.4	0.9	0.9	0.8	na
CIMC	2039.HK	Dec	1		HKD	8.0	3,054	12.0	8.0	6.6	0.2	0.2	0.2	2.6	1.8	1.4	0.7	0.7	0.6	na
Shipbuilding																				
CSSC Holdings	600150.SS	Dec	NR		CNY	34.6	38,556	13.3	10.0	8.1	1.4	1.2	1.1	4.7	3.0	1.8	1.6	1.4	1.3	66.6
Songfa	603268.SS	Dec	NR		CNY	179.2	27,055	22.3	13.0	10.2	3.8	2.6	2.3	16.1	9.6	7.2	10.5	6.1	4.2	na
DHI	002487.SZ	Dec	NR		CNY	42.0	3,969	14.0	9.3	6.9	3.0	2.0	1.4	11.0	8.2	6.4	2.7	2.1	1.7	61.1
Yangzijiang Shipbuilding	YAZG.SI	Dec	1		SGD	4.3	13,285	8.1	6.2	6.0	2.5	1.8	1.7	6.2	4.7	4.2	2.4	2.0	1.7	28.8
Samsung Heavy Industries	010140.KS	Dec	NR		KRW	21,975.0	13,640	19.1	13.1	11.1	1.5	1.3	1.2	11.7	8.1	6.8	3.6	2.9	2.3	61.7
HD Hyundai Hvy	329180.KS	Dec	NR		KRW	512,000.0	37,904	17.0	14.5	12.6	2.1	2.0	1.9	11.2	9.2	7.6	4.5	3.6	3.0	49.9
Hanwha Ocean	042660.KS	Dec	NR		KRW	89,500.0	19,343	13.8	13.5	12.2	1.7	1.8	1.7	12.3	10.6	9.3	3.3	2.7	2.2	39.6
HD Korea Shipbuilding & Offshore	009540.KS	Dec	NR		KRW	404,500.0	20,192	7.7	6.5	5.9	0.8	0.8	0.7	3.1	2.1	1.3	1.8	1.5	1.2	42.9
Average								14.4	10.8	9.1	2.1	1.7	1.5	9.5	6.9	5.6	3.8	2.8	2.2	50.1
Weighted Avg (By Mkt-Cap)								15.0	11.4	9.7	2.0	1.7	1.5	9.3	6.8	5.4	4.1	3.0	2.3	51.5
Offshore Engineering																				
BOMESC	603727.SS	Dec	NR		CNY	19.2	800	35.2	16.4	11.8	1.5	1.2	1.0	na	na	na	1.6	1.5	1.3	130.6
Offshore Oil Engineering	600583.SS	Dec	NR		CNY	5.6	3,657	10.4	9.5	8.7	0.8	0.7	0.7	2.4	1.2	(0.1)	0.9	0.8	0.7	11.7
Seatrium	SEAT.SI	Dec	1		SGD	2.2	5,729	14.5	9.6	10.0	0.6	0.7	0.8	6.5	5.1	5.0	1.0	1.0	0.9	57.3
SBM Offshore	SBMO.AS	Dec	NR		EUR	33.5	6,626	8.1	9.6	9.6	0.9	1.1	1.1	6.0	5.9	5.8	1.6	1.3	1.2	1.5
Modec	6269.T	Dec	NR		JPY	9,654.0	4,142	10.7	10.1	10.1	0.9	0.9	0.9	7.3	6.2	6.0	2.5	2.1	1.8	10.1
Subsea 7	SUBC.OL	Dec	1H		NOK	335.0	10,566	13.4	13.1	12.5	1.4	1.3	1.3	5.4	5.1	4.8	2.5	2.2	2.0	39.8
Saipem	SPMI.MI	Dec	1H		EUR	4.4	10,173	32.9	16.1	14.1	0.7	0.6	0.6	4.3	3.5	3.1	4.1	3.6	3.2	32.8
TechnipFMC PLC	FTLN	Dec	1		USD	74.1	29,071	24.0	18.8	16.2	2.8	2.5	2.3	13.0	11.3	10.5	7.8	6.5	5.3	26.9
Average								18.6	12.9	11.6	1.2	1.1	1.1	6.4	5.5	5.0	2.7	2.4	2.1	38.8
Weighted Avg (By Mkt-Cap)								20.1	14.9	13.4	1.7	1.6	1.5	8.5	7.4	6.8	4.6	3.9	3.3	29.2
Offshore Rig operator																				
Seadrill	SDRL.N	Dec	2H		USD	46.8	2,924	32.0	10.5	9.0	1.9	1.6	1.6	7.6	5.0	4.2	1.0	0.9	0.8	291.0
Borr Drilling	BORR.N	Dec	2H		USD	4.2	1,280	na	10.0	10.3	1.2	0.9	0.9	7.2	5.2	5.0	1.1	1.0	0.9	66.7
Average								32.0	10.3	9.7	1.5	1.3	1.3	7.4	5.1	4.6	1.0	0.9	0.8	178.9
Weighted Avg (By Mkt-Cap)								32.0	10.4	9.4	1.7	1.4	1.4	7.5	5.0	4.4	1.0	0.9	0.8	222.7
Data centre construction																				
ComfortSys	FIX.N	Nov	NR		USD	1,674.8	58,945	34.1	27.9	22.2	4.5	3.8	3.3	23.6	19.0	14.9	14.5	9.8	7.2	44.2
Morimatsu Int'l	2155.HK	Dec	NR		HKD	8.2	1,330	11.4	10.0	8.5	1.1	1.0	1.0	na	na	na	1.4	1.3	1.1	22.5
Average								22.8	19.0	15.3	2.8	2.4	2.1	23.6	19.0	14.9	8.0	5.5	4.2	33.3
Weighted Avg (By Mkt-Cap)								33.6	27.5	21.9	4.5	3.8	3.2	23.6	19.0	14.9	14.2	9.6	7.0	43.7
Logistics & HDT																				
Foton	600166.ss	Dec	NR		CNY	3.1	3,603	11.6	9.3	7.1	0.3	0.3	0.3	na	na	na	1.4	1.3	1.1	39.3
FAW Jiefang	000800.sz	Dec	NR		CNY	6.2	4,487	26.7	19.8	na	0.4	0.4	na	na	na	na	1.1	1.1	na	45.2
Sinotruk Jinan	000951.sz	Dec	NR		CNY	21.7	3,752	12.6	10.4	8.6	0.4	0.3	0.3	7.3	6.1	4.4	1.5	1.4	1.3	20.9
Jiangling Motors	000550.sz	Dec	NR		CNY	16.4	1,675	9.2	8.6	10.0	0.3	0.3	0.3	0.7	0.5	0.2	1.1	1.0	1.0	17.5
SF Hldg	002352.SZ	Dec	1		CNY	33.6	23,920	14.2	12.9	12.0	0.5	0.5	0.5	6.2	5.6	5.2	1.5	1.4	1.3	8.6
Average								15.7	12.9	10.2	0.4	0.4	0.3	4.7	4.1	3.3	1.3	1.2	1.2	23.1
Weighted Avg (By Mkt-Cap)								15.4	13.3	11.5	0.5	0.4	0.4	6.0	5.4	4.8	1.4	1.3	1.3	15.3

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Source: Citi Research Estimates

Other Companies Mentioned:

CIMC Enric (3899.HK; HK\$7.69; 1; 11 Aug 26; 16:10)

Risks

Project execution risk

Execution failures on complex FPSO projects represent a primary operational risk. Overruns, typically driven by design modifications and scope creep, can trigger severe cost escalations and contractual penalties that erode profitability. Furthermore, a track record of such delays tarnishes the company's reputation, weakening its competitive position in future bidding processes as clients may favor partners with a stronger history of on-time, on-budget delivery.

Red Sea route normalization impact

The potential normalization of the Red Sea shipping corridor presents a notable market headwind. If geopolitical risks subside, allowing carriers to resume this vital transit, the resulting shorter voyage times would effectively expand global fleet capacity by an estimated 10-20%. This surge in efficiency would, in turn, dampen demand for new containers and exert downward pressure on pricing, negatively impacting manufacturers like CIMC.

FX risks

We estimate >50% of CIMC's revenue is FX-exposed, and thus Rmb appreciation can lead to net margin decline and FX loss. We believe investor expectations were scaled back during 2Q26 primarily due to Rmb appreciation, which we estimate to be ~Rmb600m. CIMC recorded ~Rmb1.1bn FX losses in 2025, and we estimate another Rmb1bn FX loss in 2026E. If Rmb appreciates more than expected, this could impact the company's earnings.

Steel price surge

Given that steel constitutes 30-50% of CIMC's cost of goods sold (COGS), sharp price increases pose a considerable threat to margins. While the company's significant scale affords it strong bargaining power and mature cost pass-through mechanisms offer a degree of protection, these mitigants may prove insufficient in a fiercely competitive market. To defend its market share, CIMC might be compelled to absorb a portion of the cost inflation, thereby compressing its profit margins.

Oil price (upside risk)

Elevated oil prices present a significant upside risk, as they stimulate investment in offshore exploration and production. Such increased activities **can** directly **heighten** CIMC's profitability in its Asset Management segment through higher daily rates and utilization for its rigs and platforms, while also facilitating new project wins for its Offshore Engineering segment.

Other risks

Other key risks include robust competition in some of its business segments, exposure to macroeconomic and commodities cycles, and uncertainties as to the future scope of AI-related data center demand.

Appendix 1: Minor Business Segments

Vehicle segment: CIMC Vehicles Group

61.13% shareholding, 18% of 2026E attributable profit mix, 10% of target valuation.

CIMC Vehicles (301039.SZ) serves as the group's road transport vehicle platform, specializing in semi-trailers (半挂车) and select special-purpose vehicles, the global no.1 player by production volume. The business originated in 2002 as a strategic downstream extension of container manufacturing, leveraging overlapping customer relationships with logistics fleets and North American truck operators, whilst capitalizing on existing steel processing, welding, and coating capabilities.

Semi-Trailer Segment (Core): The company operates across seven semi-trailer categories serving four major regional markets (China, North America, Europe, Rest of World).

Figure 62. CIMC Vehicle – Products

Container skeletal carriers (集装箱骨架车)



Curtain-side semi-trailers (侧帘式半挂车)



Dry box semi-trailers (厢式半挂车)



Refrigerated semi-trailers (冷藏半挂车)



Tanker semi-trailers (罐式半挂车)



Municipal dump truck upper structures (城市渣土车上装)



Concrete mixer truck upper structures and chassis sales (混凝土搅拌车上装)



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Source: Citi Research, Company Reports

Figure 63. CIMC Vehicle – Product Offering by Regions

Product Category	Product Type	China	North America	Europe	Other Regions
Semi-Trailers (半挂车)	Container skeletal carriers	✓	✓	✓	✓
	Flatbed and stake-bed variants, including stake and warehouse cage types	✓		✓	✓
	Curtain-side semi-trailers	✓		✓	✓
	Dry box semi-trailers	✓	✓	✓	✓
	Refrigerated semi-trailers	✓	✓	✓	✓
	Tanker semi-trailers, including powder and liquid tankers	✓		✓	✓
	Other specialty semi-trailers, including mid-axle car carriers and dump heads	✓		✓	✓
Special-Purpose Vehicle Upper Structures (专用车上装)	Municipal dump truck upper structures	✓			✓
	Concrete mixer truck upper structures and chassis sales	✓			✓
Refrigerated Box Vehicles (冷藏厢式车)	Refrigerated box vehicle bodies and chassis sales	✓			
Components	Semi-trailer and special-purpose vehicle components	✓	✓	✓	✓

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Source: Citi Research, Company Reports

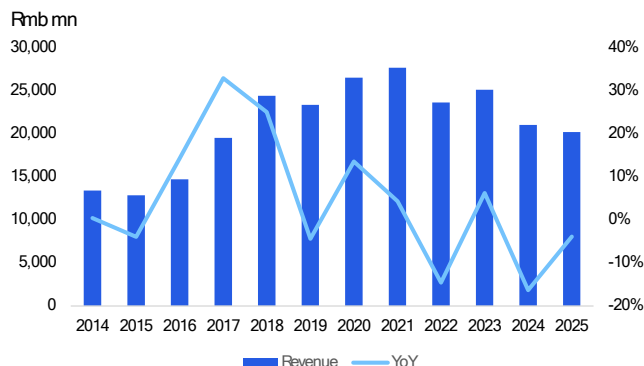
The segment's core operational innovation is the Lighthouse Factory (灯塔工厂) model, developed between 2014–2018. The system concentrates capital-intensive processes (stamping, welding, coating) at centralized Lighthouse facilities, whilst satellite assembly plants (卫星工厂) are positioned near end-market demand. This architecture delivers significant manufacturing cost advantages versus North American and European competitors.

The model's success led to group-wide adoption through the Longteng Plan (龙腾计划), CIMC's strategic initiative to standardize smart manufacturing capabilities across its container operations to achieve 20%+ efficiency gains and establish the Lighthouse-Satellite architecture as the group's core manufacturing template.

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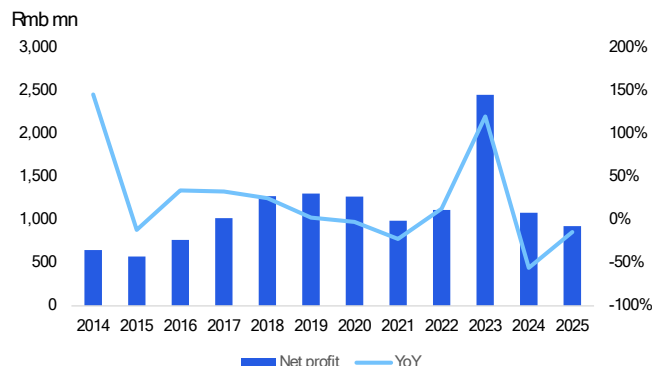
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Figure 64. CIMC Vehicle – Revenue



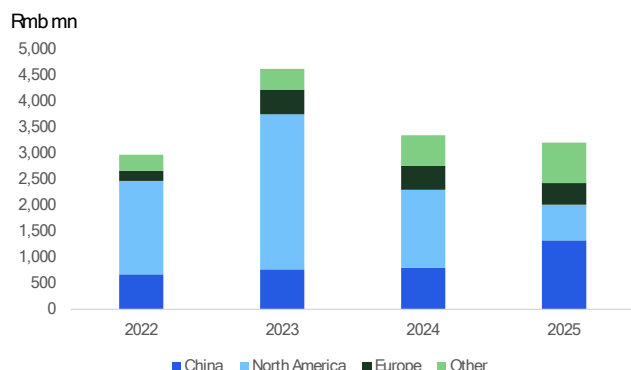
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Figure 65. CIMC Vehicle – Net Profit



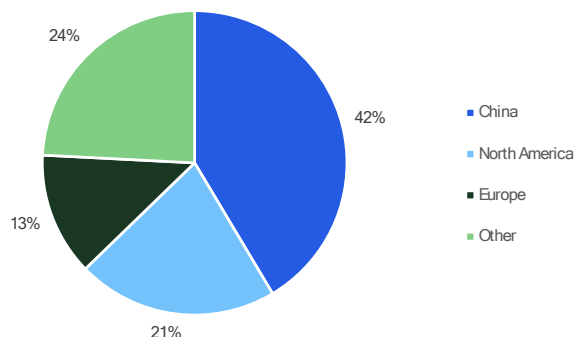
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Figure 66. CIMC Vehicle – Gross Profit Breakdown



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Figure 67. CIMC Vehicle – 2025 Gross Profit Mix



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Source: Citi Research, Company Reports

Logistics segment: CIMC Wetrans

Shareholding 43%, 5% of 2026E attributable profit, 3% of target valuation.

CIMC Wetrans (中集世联达) is the group's asset-light multimodal freight forwarder spanning sea, road, rail, and air. It evolved from container depot operations into integrated end-to-end logistics: booking, transport, last-mile distribution, and customs clearance, leveraging CIMC's existing container and vehicle customer base for door-to-door solutions.

Key services include container freight, multimodal forwarding, customs compliance, cold-chain, China–Europe Railway Express, and Trans-Asian Railway connections, aligned with Belt and Road themes. Industries served include new energy, automotive, and project logistics.

CIMC Wetrans ranks 13th globally and third domestically in ocean forwarding (behind Sinotrans and COSCO Shipping), positioning it as a niche cross-border multimodal player extending from equipment into forwarding.

Airport Equipment & Fire/Rescue segment: CIMC Tianda

63.63% shareholding, 5% of 2026E attributable profit, 2% of target valuation.

CIMC Tianda (中集天达) is the group's airport ground support equipment and fire/rescue platform. The business runs two principal product lines: passenger boarding bridges plus adjacent airport ground equipment, and aerial work platforms plus fire/rescue specialty vehicles. The segment originated in the early 2000s with a passenger boarding bridge contract for Tianjin Binhai International Airport — the first localization of the passenger boarding bridges product in China, replacing imported equipment. Tianda expands its product lines sharing airport customers (airport authorities, civil aviation operators) and benefits from regulatory certification barriers that protect incumbents against new entrants.

Tianda commands ~90% market share in passenger boarding bridges in China and ~50% in Europe. Its airport fire rescue trucks and municipal fire engines collectively hold ~10% global market share.

Figure 68. CIMC Tianda – Product Offerings



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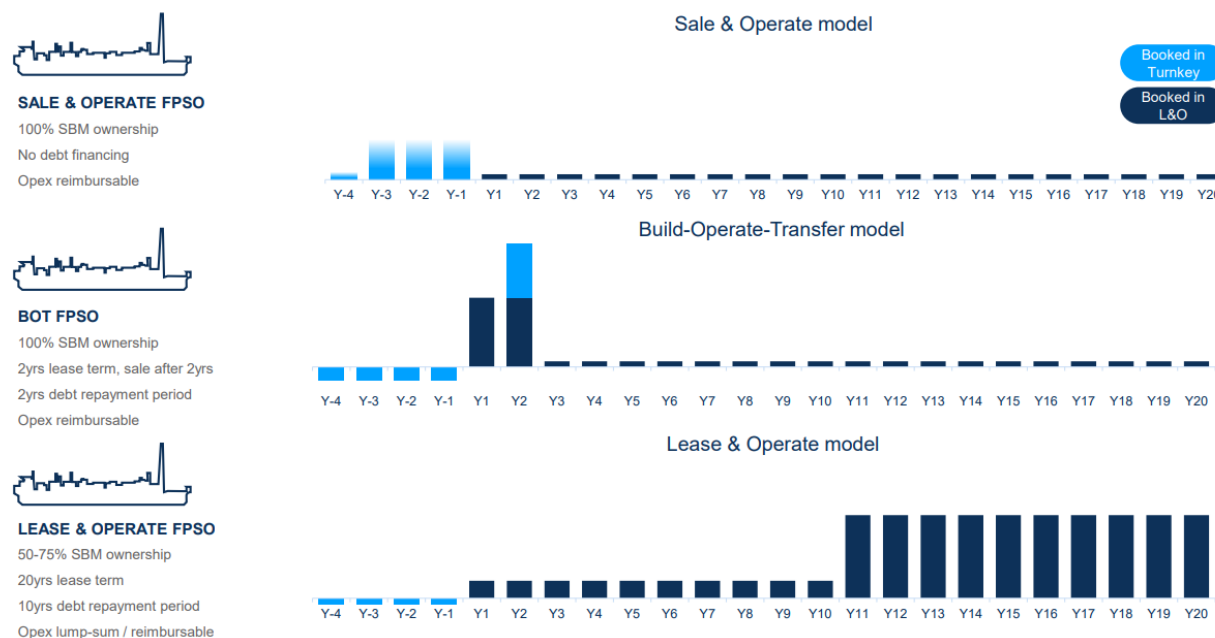
Source: Citi Research, Company Reports

Appendix II: FPSO Contractor Business Models

There are three business models for FPSO operation, according to IOC/NOC and contractors' cashflow/balance sheet preference.

- **Sell and Operate / Lease and Operate (charter):** Practiced by SBM Offshore, MODEC, Yinson, BW Offshore, and others. The contractor finances, builds, operates the FPSO (operators may own the vessel for a period) over a long-term contract (typically 15–25 years). Revenue is a fixed day rate plus operations and maintenance fees.
- **Turnkey (EPC sale):** Petrobras and some IOCs procure self-owned FPSOs through EPC or supply contracts. Contractors such as Seatrium, Keppel, Saipem/DSME and yards are paid through milestones during construction. They avoid long-term operating exposure, but carry major execution, procurement, delay and warranty risk.
- **Build-Operate-Transfer (BOT):** Petrobras has recently used BOT for FPSO tenders such as P-81 and P-87 under SEAP (**materialized with SBM Offshore**) and Albacora/P-88. The contractor designs, builds and operates the FPSO for a defined period, then transfers it to Petrobras. This is best viewed as a hybrid between lease-operate and sale/EPC, not a completely new global model.

Figure 69. FPSO Contractor Business Models and Cash Flow Profile



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Source: Citi Research, SBM Offshore

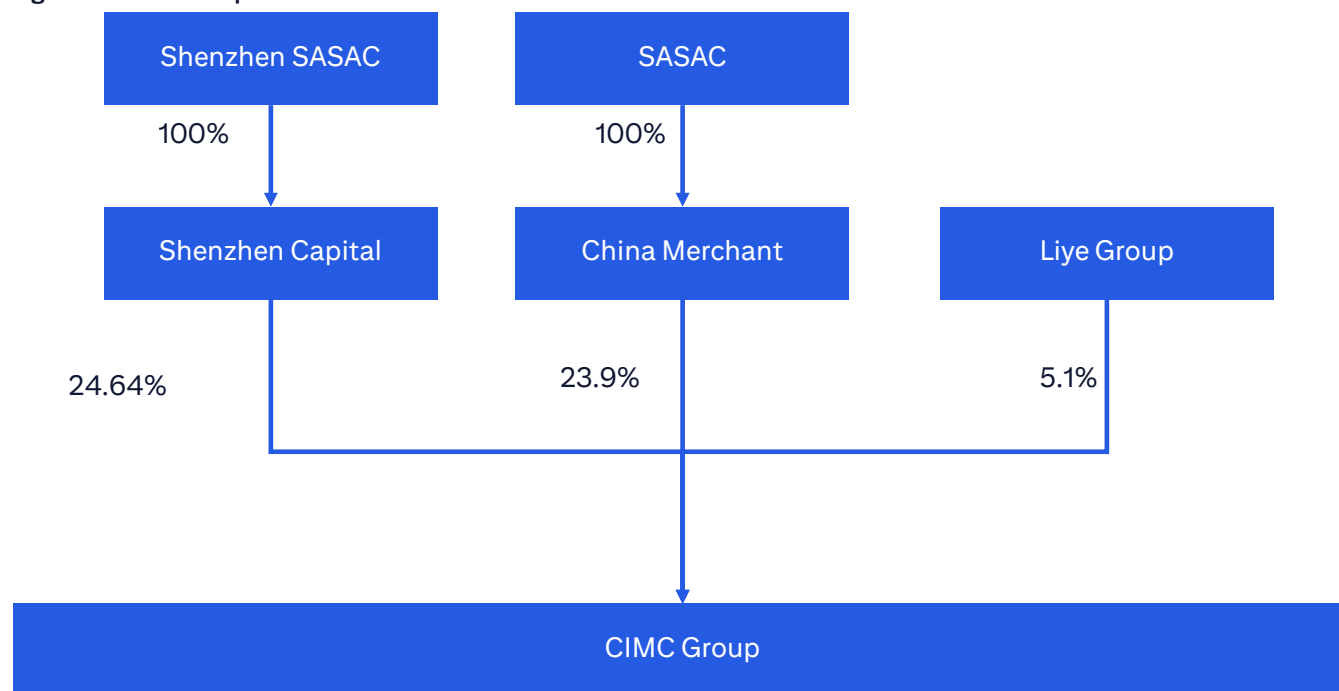
Appendix III: Company History & Shareholders

Company history

CIMC evolved from a near-failed Reform-era Sino-foreign joint venture into a mixed-ownership group blending professional management with SOE resources. CEO Mai Boliang (麦伯良), who joined from China Merchants Group in the early 1990s, has sustained a market-oriented culture for over three decades. Critically, CIMC imported mature European container manufacturing technology and management practices from the outset, which explains why the company was built around international standards and export orientation from day one—rather than evolving organically as a domestic-focused manufacturer. This foundation enabled CIMC to build a global operating footprint spanning over 15 subsectors, with manufacturing facilities across Asia, Europe, and North America serving customers in more than 100 countries.

Key shareholders

Figure 70. CIMC – Top-3 Shareholders



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As of 7 May 2026

Source: Citi Research, Company Reports

000039.SZ: Fiscal year end 31-Dec						Price: Rmb8.870; TP: Rmb12.500; Market Cap: Rmb20,425m; Recomm: Buy					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	177,664	156,611	165,944	171,236	178,773	PE (x)	14.3	na	15.6	10.4	8.6
Cost of sales	-155,417	-137,116	-144,164	-147,435	-153,658	PB (x)	0.9	0.9	0.9	0.8	0.8
Gross profit	22,247	19,495	21,780	23,801	25,115	EV/EBITDA (x)	3.0	3.3	2.4	1.9	1.5
Gross Margin (%)	12.5	12.4	13.1	13.9	14.0	FCF yield (%)	-28.2	1.9	-13.9	3.1	9.0
EBITDA (Adj)	11,970	9,355	10,515	11,697	12,834	Dividend yield (%)	2.0	2.0	1.9	2.9	3.5
EBITDA Margin (Adj) (%)	6.7	6.0	6.3	6.8	7.2	Payout ratio (%)	28	-817	30	30	30
Depreciation	-4,052	-4,480	-3,065	-3,114	-3,141	ROE (%)	6.0	0.4	6.0	8.5	9.6
Amortisation	0	0	0	0	0	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	7,918	4,875	7,450	8,583	9,692	EBITDA	12,443	10,150	9,913	12,590	13,631
EBIT Margin (Adj) (%)	4.5	3.1	4.5	5.0	5.4	Working capital	304	6,857	-3,672	-208	-146
Net interest	-1,365	-2,033	-1,778	-753	-455	Other	-3,483	1,507	-1,312	718	2,418
Associates	-494	-1,410	200	0	0	Operating cashflow	9,264	18,514	4,929	13,100	15,903
Non-Op/Except/Other Adj	536	1,384	-200	0	0	Capex	-22,627	-17,500	-11,500	-11,500	-11,500
Pre-tax profit	6,595	2,816	5,672	7,830	9,237	Net acq/disposals	114	32	50	50	50
Tax	-2,400	-1,479	-1,134	-1,566	-1,847	Other	15,882	13,702	14,896	6,607	4,748
Extraord./Min.Int./Pref.div.	-1,223	-1,117	-1,425	-1,627	-1,775	Investing cashflow	-6,630	-3,767	3,446	-4,843	-6,702
Reported net profit	2,972	221	3,112	4,637	5,615	Dividends paid	-118	-945	-945	-908	-1,366
Net Margin (%)	1.7	0.1	1.9	2.7	3.1	Financing cashflow	-4,244	-10,320	-6,323	-9,122	-8,456
Core NPAT	3,484	-22	3,164	4,693	5,672	Net change in cash	-1,366	3,806	2,052	-864	745
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	-13,363	1,014	-6,571	1,600	4,403
Reported EPS (Rmb)	0.525	0.024	0.560	0.843	1.024						
Core EPS (Rmb)	0.620	-0.022	0.569	0.853	1.034						
DPS (Rmb)	0.176	0.176	0.168	0.253	0.308						
CFPS (Rmb)	1.692	3.416	0.897	2.412	2.932						
FCFPS (Rmb)	-2.504	0.171	-1.236	0.279	0.799						
BVPS (Rmb)	9.572	9.345	9.747	10.438	11.226						
Wtd avg ord shares (m)	5,393	5,393	5,393	5,393	5,393						
Wtd avg diluted shares (m)	5,393	5,393	5,393	5,393	5,393						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	39.0	-11.8	6.0	3.2	4.4						
EBIT (Adj) (%)	82.5	-38.4	52.8	15.2	12.9						
Core NPAT (%)	370.4	-100.6	na	48.3	20.9						
Core EPS (%)	456.2	-103.5	na	49.8	21.3						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	21,621	24,264	26,317	25,453	26,198						
Accounts receivables	33,570	27,167	32,178	33,204	34,666						
Inventory	19,736	18,150	19,917	20,369	21,228						
Net fixed & other tangibles	50,284	50,468	50,903	51,289	51,647						
Goodwill & intangibles	8,389	8,255	8,255	8,255	8,255						
Financial & other assets	41,153	38,490	33,498	33,498	33,498						
Total assets	174,752	166,796	171,068	172,067	175,492						
Accounts payable	32,987	31,129	33,706	34,471	35,925						
Short-term debt	15,557	13,247	13,247	13,247	13,247						
Long-term debt	19,378	15,024	14,024	10,024	7,024						
Provisions & other liab	38,811	40,584	41,112	41,618	42,339						
Total liabilities	106,732	99,985	102,090	99,360	98,536						
Shareholders' equity	51,619	50,392	52,559	56,288	60,537						
Minority interests	16,400	16,419	16,419	16,419	16,419						
Total equity	68,020	66,811	68,978	72,707	76,956						
Net debt (Adj)	13,314	4,007	955	-2,181	-5,926						
Net debt to equity (Adj) (%)	19.6	6.0	1.4	-3.0	-7.7						
For definitions of the items in this table, please click here .											

2039.HK: Fiscal year end 31-Dec						Price: HK\$7.77; TP: HK\$11.00; Market Cap: HK\$23,387m; Recomm: Buy					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	177,664	156,611	165,944	171,236	178,773	PE (x)	10.8	na	11.7	7.8	6.5
Cost of sales	-155,417	-137,116	-144,164	-147,435	-153,658	PB (x)	0.7	0.7	0.7	0.6	0.6
Gross profit	22,247	19,495	21,780	23,801	25,115	EV/EBITDA (x)	2.9	3.3	2.4	1.9	1.5
Gross Margin (%)	12.5	12.4	13.1	13.9	14.0	FCF yield (%)	-37.5	2.6	-18.5	4.2	12.0
EBITDA (Adj)	11,970	9,355	10,515	11,697	12,834	Dividend yield (%)	2.6	2.6	2.5	3.8	4.6
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Depreciation	-4,052	-4,480	-3,065	-3,114	-3,141	ROE (%)	6.0	0.4	6.0	8.5	9.6
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Net debt to equity (Adj) (%)	19.6	6.0	1.4	-3.0	-7.7						

For definitions of the items in this table, please click [here](#).

Bull/Bear: China International Marine Containers (000039.SZ)

Rmb **17.600**



▲ 98% Upside

Rmb **12.500**



▲ 41% Upside

Rmb **6.800**



▼ 23% Downside

Rmb



Spread 122pp
Current Price and expected returns (upside/downside) as of 12 Aug 2026

BULL Assumptions



- Further/hightened geopolitical conflict that disrupts container shipping and lift oil price; faster execution on current Offshore Engineering and data centre build-out order

BASE Assumptions



- No further major geopolitical conflict; execute on current Offshore Engineering and data centre build-out order

BEAR Assumptions



- Red Sea reopens; execution delays for Offshore Engineering and data centre build-out that lead to penalty

Bull/Bear: China International Marine Containers (2039.HK)

HK\$19.30



▲148% Upside

HK\$11.00



▲42% Upside

HK\$4.30



▼45% Downside

HK\$



Spread 193pp
Current Price and expected returns (upside/downside) as of 12 Aug 2026

BULL Assumptions



- Further/hightened geopolitical conflict that disrupts container shipping and lift oil price; faster execution on current Offshore Engineering and data centre build-out order

BASE Assumptions



- No further major geopolitical conflict; execute on current Offshore Engineering and data centre build-out order

BEAR Assumptions



- Rea Sea reopens; execution delays for Offshore Engineering and data centre build-out that lead to penalty

China International Marine Containers

Company description

CIMC Group (China International Marine Containers) is the world's leading manufacturer of shipping containers (34% market share in 2025). Since its founding in 1980, the company has systematically expanded beyond its core business, leveraging its transferable steel fabrication capabilities and established relationships with shipping and logistics operators. This strategy has transformed CIMC into a diversified industrial conglomerate with a portfolio that now includes semi-trailers (since 2002), tank containers, airport equipment, modular buildings, and offshore drilling platforms.

Investment strategy

We rate CIMC A-shares as Buy. CIMC's investment case is underpinned by a unique blend of secular growth drivers and cyclical value, providing clear earnings visibility through 2026E-28E. CIMC's investment thesis rests on three pillars: 1) Offshore Engineering and FPSO/FLNG opportunity; 2) AI infrastructure exposure; and 3) attractive risk/reward in Container (box) manufacturing business (the base-revenue business). We forecast CIMC to enter a multi-year profit upcycle starting from 2H26E.

Valuation

Our A-share target price of Rmb12.5 is based on a sum-of-the-parts (SOTP) consisting of: 1) 25% of from Container business based on 0.8x 2026E P/B; 2) 13% from AIDC modular building system business based on 22x 2028E P/E; 3) 32% from Offshore Engineering business based on 13x 2027E P/E; 4) 22% from Vehicle business and CIMC Enric combined, using six-month average market caps and applying a 30% conglomerate discount; and 5) 8% from Other businesses. The target multiples are benchmarked off various peer companies and peer groups, as explained in detail in our initiation report.

Risks

The following risk factors could impede the A-shares from reaching our target price: execution risk on complex projects; potential normalization of Red Sea route shipping corridor, which could lead to weaker demand for new containers; USD/RMB FX risks, as >50% of the company's revenue is FX exposed; any surge in steel prices; robust competition in some of its business segments; exposure to macroeconomic and commodities cycles; and uncertainties as to the future scope of AI-related data center demand.

China International Marine Containers

Company description

CIMC Group (China International Marine Containers) is the world's leading manufacturer of shipping containers (34% market share in 2025). Since its founding in 1980, the company has systematically expanded beyond its core business, leveraging its transferable steel fabrication capabilities and established relationships with shipping and logistics operators. This strategy has transformed CIMC into a diversified industrial conglomerate with a

portfolio that now includes semi-trailers (since 2002), tank containers, airport equipment, modular buildings, and offshore drilling platforms.

Investment strategy

We rate CIMC H-shares as Buy. CIMC's investment case is underpinned by a unique blend of secular growth drivers and cyclical value, providing clear earnings visibility through 2026E-28E. CIMC's investment thesis rests on three pillars: 1) Offshore Engineering and FPSO/FLNG opportunity; 2) AI infrastructure exposure; and 3) attractive risk/reward in Container (box) manufacturing business (the base-revenue business). We forecast CIMC to enter a multi-year profit upcycle starting from 2H26E.

Valuation

Our H-share target price of HK\$11.0 is based on a sum-of-the-parts (SOTP) consisting of: 1) 25% of from Container business based on 0.8x 2026E P/B; 2) 13% from AIDC modular building system business based on 22x 2028E P/E; 3) 32% from Offshore Engineering business based on 13x 2027E P/E; 4) 22% from Vehicle business and CIMC Enric combined, using six-month average market caps and applying a 30% conglomerate discount; and 5) 8% from Other businesses. The target multiples are benchmarked off various peer companies and peer groups, as explained in detail in our initiation report. Our H-share target price assumes 0.9HKD/RMB exchange rate and 20% A-H discount from A-share, narrower than the six-year average of 30% considering a potential new H-share buyback, per various company announcements.

Risks

Our quantitative risk rating screen, which looks at historical share price volatility, suggests a High Risk flag for the H-shares. However, we think a High Risk flag is not appropriate given the long trading history of both A-shares and H-shares, the company's own long operating history and record of stable operations, and visibility of future revenue and earnings flows. The following risk factors could impede the H-shares from reaching our target price: execution risk on complex projects; potential normalization of Red Sea route shipping corridor, which could lead to weaker demand for new containers; USD/RMB FX risks, as >50% of the company's revenue is FX exposed; any surge in steel prices; robust competition in some of its business segments; exposure to macroeconomic and commodities cycles; and uncertainties as to the future scope of AI-related data center demand.

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Appendix A-1

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IMPORTANT DISCLOSURES

China International Marine
Containers (000039.SZ)

Ratings and Target Price History
Fundamental Research



*Indicates Change

Rating/target price changes above reflect Eastern Time

China International Marine
Containers (2039.HK)

Ratings and Target Price History
Fundamental Research



*Indicates Change

Rating/target price changes above reflect Eastern Time

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Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Borr Drilling, CIMC Enric, China International Marine Containers, Saipem, Seadrill, Seatruium Limited, Subsea 7, Technip Energies NV.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Borr Drilling, CIMC Enric, China International Marine Containers, Saipem, Seadrill, Seatruium Limited, Subsea 7, Technip Energies NV, Yangzijiang Shipbuilding.

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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